

Reversals of Capacity: Norms, Culture, and Institutional Disruption

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Abstract

In recent years, leaders in a number of nations have undermined their public sector's capacity to deliver on its core goals. To understand this interference, it is necessary to examine the formal and informal organizational dynamics at play within bureaucracies. Considering a widely-applicable generalized organization, a formal model outlines how a leader may augment the career incentives of supervisors and lower-level workers, which shifts the alignment of policy with an organization's central mission. While hierarchy may amplify disruption, organizational culture can coalesce as a norm facilitating resistance to extreme shifts, thereby stabilizing long-term mission-compliance. Yet, should disruption lead to an exodus of mission-driven employees, durable reversals of an organization's capacity to fulfill its aims may ensue. The model highlights three trajectories disrupted organizations follow: temporary reversal, erosion, and resistance. Implications are considered for public sector institutions and international organizations as well as for the study of bureaucratic and state capacities.

Keywords: Norms, Culture, Public Sector, Organizational Mission, Capacity

Short Title: Norms and Reversals of Capacity

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Supplementary material for this article is available in the online appendix.

Efforts to undermine climate change science in the federal government, once orchestrated largely by President Trump’s political appointees, are now increasingly driven by midlevel managers ... experts said they have been surprised at the speed with which federal workers have internalized President Trump’s antagonism for climate science ... — The New York Times (Friedman 2020a).

Entrance into an office... is considered an acceptance of a specific duty of fealty to the purpose of the office... The political official — at least in the fully developed modern state — is not considered the personal servant of a ruler. — Max Weber (1978).

The United States, Brazil, and other advanced, industrialized nations have been governed in recent years by political regimes that appeared intent on undermining the foundational aims of the state. While public sector agencies are long-lived institutions, due to the power of political executives to make key appointments within government, leaders are afforded ample opportunity to alter the direction of bureaucratic output. Despite the potentially shifting policy goals of changing political leadership, public sector agencies are generally characterized by stable and legally-codified ‘missions,’ i.e., a widely-shared primary organizational aim (Tirole 1994; Wilson 2019). For example, the United States’ Environmental Protection Agency (EPA) defines its mission as “protect[ing] human health and the environment (EPA 2021).” Yet, politicians hold the power to undermine government functionality through redirecting agencies away from their missions. How can politicians divert, and potentially permanently reverse, the output of a government agency away from its mission? And what factors may safeguard the output of high-functioning public sectors?

The output of the state is inherently linked to the composition and aims of the bureaucrats who constitute a government. A political appointee who leads a public sector agency may alter its output by shifting the incentives of bureaucrats (Lewis 2008). While appointees vary in their alignment with the general ideological leanings of an agency, they may enact ‘institutional disruption’ by acutely politicizing an agency through diverting its organizational aims away from its foundational mission. As a result, an institution’s ‘output’ may shift from a normative benchmark of entirely mission-driven policy to output which is largely unaligned with its mission. Missions are intended to operate across political administrations (absent legislative alterations), and mission success remains a core tenet of government agencies, e.g., there often exist internal ‘offices of mission support.’ While there are competing motivations for bureaucrats, such as prestige and

financial considerations, they often care deeply if their organization is perceived as accomplishing its mission (Golden 2000; Moynihan and Pandey 2007). Preferences for mission-driven policy may also be reinforced through recruitment and by internal practices (Kaufman 2010; Honig 2021).

Political appointees are central to enacting institutional disruption. Under the Trump Administration, while altered conduct was reported widely across the public sector, in a survey of scientific agencies, it was only in those led by political appointees perceived as blatantly divergent from normal practices that perceptions of productivity and adherence to scientific integrity faltered (Goldman et al. 2020). Even given formal institutions intended to hinder politicization (Geddes 1994; Carpenter 2002; De Figueiredo 2002), such as meritocratic recruitment and external oversight (Rauch and Evans 2000), public sector agencies rely to a degree on the de facto commitment of political leaders not to undermine the missions of agencies through overtly political appointments. Such actions undermine the ability of a nation to achieve the policy-ends of government agencies mandated by legislation and, as a result, may harm the welfare of citizens through lower quality public good provision (Dahlström, Fazekas, and Lewis 2021).

Should an agency become acutely politicized, the mass departure of high-skilled bureaucrats motivated by an agency's mission may occur. This outcome would erode a public sector institution's underlying capacity to achieve its organizational aims. As a result, there may occur long-term damage to the mission-oriented nature of the agency's output. Historical cases of reversals of fiscal capacity, i.e., the ability to collect taxes, in countries such as Peru and Chile reveal that it can take years for an agency to recover from disruption (Soifer 2015). More recently, the rise of populist politicians has been found to both shift the quality of work in the public sector and lead many qualified bureaucrats to quit their jobs (Cameron and Figueiredo 2020; Sasso and Morelli 2021). Disruptive leadership has also impacted and shifted the missions of international organizations, such as the International Monetary Fund (IMF) and the World Bank (Vreeland 2019).

What can combat institutional disruption? The answer lies in a combination of formal and informal factors. Formally established checks, such as external oversight by other branches of government, can counteract disruptive leaders. Additionally, bureaucrats can oppose disruption by

resisting actions stipulated by a political appointee, which may be driven by a personal desire to fulfill an agency's mission and can be strengthened by a culture of mission-compliance. Social pressures may manifest to shape expectations such that institutional norms orient workers towards actions that align with an agency's mission. Informal, transactional factors often shape relationships within organizations (Gibbons and Henderson 2012; Ashraf and Bandiera 2018), particularly bureaucratic agencies (Dilulio Jr 1994; Rainey 2009; Kaufman 2010; Carpenter and Krause 2015; Wilson 2019), and distinguish allotted authority from realized power (Aghion and Tirole 1997).

Of particular focus is the role of norms in supporting an organization's mission. A norm exists when a large subset of a population coordinates to take a prominent 'focal' action repeatedly across time. Driving coordination is common knowledge of a benefit that will exist among individuals when they take the same action, i.e., a strategic complementarity. This benefit gains strength when there is a greater expectation that others will take the focal action and where expectations may be shaped by informal incentives or de jure rules.¹ While norms can orient behavior towards a range of possible focal actions, I narrow consideration to a norm that drives bureaucrats towards pursuance of policies that align with an agency's mission.

To formalize these arguments, I present a game theoretic model. Tirole (1994) argues that the study of organizations may speak to the challenges of government, particularly bureaucracies. Following this approach, I consider a generalized organization that may apply widely but critically aligns with a realistic depiction of a government agency led by a political appointee. There are two principal-agent relationships: one between workers and supervisors, which is nested within the dynamic between supervisors and an organizational leader. A single-period model demonstrates how a leader may disrupt organizational output thereby driving the institution to become unaligned with its mission. However, the leader must contend with more formalized checks and social pressures among employees, termed organizational 'culture,' that incentivize mission-compliance. Ultimately, underlying 'mission capacity,' i.e., the proportion of an agency's supervisors who are mission-motivated, will only manifest as mission-driven output if supervisors who care about their

1. This definition augments Bicchieri (2005) by allowing formalized rules to support a focal action and requiring it to occur multiple times.

mission are able to implement their preferred policy. Otherwise, an organization will experience a mismatch between potentially high-levels of mission capacity and its realized policy output.

Next, a two-period model outlines the long-term consequences of disruption for mission capacity by considering the potential exit of mission-driven supervisors from the organization. There are three equilibrium trajectories for organizations confronted by disruptive leadership: ‘erosion,’ wherein mission-driven supervisors leave the organization, which leads to a permanent reversal of mission capacity and mission-driven output; ‘temporary reversal,’ in which supervisors are diverted from their mission but do not leave, thereby preserving latent capacity; and ‘resistance,’ in which mission-driven supervisors always pursue mission-oriented policy and remain at the institution. This trajectory is characterized by social pressures manifesting a ‘norm of mission-compliance’ that combats disruption, thereby ensuring durably high-levels of mission capacity and adherence to the organizational mission. When applied to the public sector, the trajectories outline the circumstances under which disruptive leadership may permanently damage a state’s ability to achieve the legally directed aims of bureaucratic agencies or circumstances in which internal organizational dynamics may combat this outcome.

The study serves to unite overlapping but often disparate areas of research: state capacity, bureaucratic politics, public administration, organizational studies, and social norms. By detailing reversals of government capability, the study expands upon the literature on state capacity, which has generally focused on the conditions in which leaders enhance the state’s ability to fulfill their specified policy-ends (Berwick and Christia 2018).² A related set of literature has considered how specifically bureaucratic functionality can be harmed by private-interest groups that aim to exploit patronage or weaken the state (Geddes 1994; Suryanarayan and White 2021). Yet, consideration of how bureaucrats may combat such disruption remains a gap. Furthermore, while it is widely accepted within bureaucratic and public administration research that organizational culture and norms exert a profound effect on the quality of government output, these informal factors remain largely under-theorized and difficult to measure (Carpenter and Krause 2015). Ad-

2. The appendix details when bureaucratic and state capacities have fluctuated in Brazil and Argentina.

ditionally, although select research highlights how norms can serve to support or undermine the performance and even the existence of institutions (Greif and Laitin 2004; Acemoglu and Jackson 2017), few formal models have considered their implications for bureaucracies (Basu 2018). Moreover, informal factors have been less frequently examined in advanced, industrialized nations despite impacting and often complementing the role of formal institutions (Azari and Smith 2012). The study of organizations and bureaucracies has also considered bureaucrats holding non-financial motivations, such as pro-social preferences, mission-oriented preferences, or institutional loyalty (Carpenter and Gong 2016; Besley and Ghatak 2018; Fontana and Huq 2018; Patty and Penn 2020). Yet, these studies generally do not consider the role of norms.

Finally, my approach diverges from related studies into bureaucratic capacity, i.e., the overall quality of the public sector, by explicitly taking into account the motivations of bureaucrats rather than focusing on, for example, their skill-level (Huber and McCarty 2004). As detailed later, I contend my approach is a useful addition to the study of bureaucratic capacity as bureaucrats' preferences do shape the output of government (Carpenter and Krause 2015). Furthermore, by using the framework of 'capacity,' my approach distinguishes a single realization of mission-driven policy from the lasting ability of a government to achieve this outcome. In this sense, I will suggest the model also holds implications for the study of state capacity.

U.S. Environmental Protection Agency Public sector agencies that are perceived as holding relatively partisan missions appear to be likely targets for institutional disruption, particularly as the relative partisanship of an agency shapes the recruitment and retention of workers (Richardson, Clinton, and Lewis 2018; Bolton, De Figueiredo, and Lewis 2020). One frequent target has been the United States Environmental Protection Agency.

The EPA is a stand-alone executive agency that, nonetheless, remains under the control of the executive branch. The shaping of regulation, the licensing and monitoring of pollution, and the conducting of environmental impact studies fall within its purview. Under the leadership of Administrator Anne Gorsuch Burford (1981-83), who headed the agency during the first several years of President Ronald Reagan's administration, research and development were undermined, new reg-

ulation stalled, and enforcement was significantly hampered.³ In fact, Administrator Gorsuch (as she was referred to at the time) attempted to “...paralyze if not totally dismantle the enforcement program (Mintz 2012).”⁴ This was accomplished through explicitly altering the “self-interested calculations” of career workers in the EPA to shift their behavior, such as threatening the career advancement of higher-level supervisors should they enforce regulation.⁵ Non-compliant career employees — who were a particular target — could even be transferred from Washington, D.C., which often led them to leave their jobs rather than uproot their lives. This disruption appeared to be the result of an ideology that de-emphasized government regulation as well as openness to capture by private interests. For example, EPA employees were reprimanded for considering the general public their “client” rather than private firms (Golden 2000).

As a result of these practices, many career workers complied closely with the policies of Gorsuch and lower-level political appointees. Yet, while enforcement decreased, so did morale and effort among agency employees. Later Congressional oversight revealed that, among many lapses, 160 hazardous waste sites had been left unattended under Gorsuch. She was, eventually, held in contempt of Congress and resigned. The fallout of her tenure has been lasting: the agency experienced an exodus of qualified supervisors, particularly among members of the Office of Enforcement. While regulators were energized by Gorsuch’s exit and the agency averted disintegration under the subsequent leadership of the widely-respected Administrator William Ruckelshaus, the departures had a long-term impact on the quality of enforcement for years after her resignation.⁶ Moreover, career workers remained hesitant to speak freely in front of political appointees until the George H. W. Bush administration (Golden 2000; Mintz 2012).

A similar trend emerged under President Donald Trump’s first EPA administrator, Scott Pruitt, who “...moved to shrink the agency’s reach, alter its focus, and pause or reverse numer-

3. President Reagan intended to alter the practices of agencies to de-emphasize regulation and sought to do so through administrative power rather than with new legislation (Golden 2000).

4. Gorsuch reorganized the EPA’s Office of Enforcement three times and ultimately abolished it (Golden 2000).

5. U.S. government employees are generally hired through either a merit system or via a presidential nomination followed by Senatorial approval (Lewis 2008). Gorsuch maintained a “green book,” which often focused on career merit employees who were classified as being too committed to enacting regulation (Golden 2000).

6. According to a former EPA official I interviewed in April, 2021.

ous environmental rules (Deniss and Eilperin 2019).⁷ This regressive practice continued under Pruitt’s replacement, Andrew Wheeler. The EPA reached a 10-year low in the number of inspections performed, risk evaluations of hazardous chemicals acutely dropped from levels performed under past administrations, and projects were reported to have been captured by industry interests (Deniss and Eilperin 2019; Davenport, Friedman, and Flavelle 2021).⁸ The appendix also highlights survey data showing that EPA employees believed their agency was less successful at accomplishing its mission under Trump’s political appointees.

However, in contrast to the tenure of Administrator Gorsuch, the EPA under the Trump Administration has contended with many public forms of resistance. The union representing EPA workers publicly sought to block Scott Pruitt’s confirmation. Additionally, employees and review boards were outspoken critics of many changes. There were also private forms of resistance, which oftentimes consisted of simply continuing to perform one’s job (Mintz 2019; Friedman 2020b).

What circumstances drive career bureaucrats to follow the directives of appointees to undermine their agency’s mission, as occurred under Administrator Gorsuch? Alternatively, what conditions led to the resistance exhibited under the Trump Administration? The game theoretic analysis will account for these divergent outcomes in the same government agency.

Single-Period Model: Policy-Making under Disruption

I consider an organization where three categories of players engage in a policy-making process: a unit mass of workers ($w \in W$) implement policy, a unit mass of supervisors ($s \in S$) guide policy, and there is an organizational leader (L). Through uniform random assignment, each worker (w) is matched to a supervisor ($s(w)$) forming a pair (see Figure 1a).⁹

Each worker enacts a policy $M_w \in \{1, 0\}$, which may be of the quality that it is mission-driven (1) or unaligned with the mission (0). Simultaneously, supervisors propose a policy $M_{s(w)} \in \{1, 0\}$.

7. EPA employees do not conflict with all Republican administrations, e.g., procedures normalized under Administrator Ruckelshaus. As Golden (2000) notes, EPA workers “. . . recognize and accept legitimacy of appointed leadership — at least when they view that leadership as competent and fair.”

8. “. . . Career EPA managers have worked to sabotage the process by altering risk assessments, waging harassment campaigns against employees, internally accelerating the approval process and retaliating against staff who raise concerns. . .” (Perkins 2021).

9. Workers $w \in W$ are matched to supervisors $s \in S$ through the uniform bijective matching function $s : W \rightarrow S$.

The simultaneous actions will force the players to act on their expectations, which emphasizes how norms shape behavior in organizations (this assumption is weakened in the appendix and yields similar results). Finally, while the leader cannot directly impact policy, at the outset of the policy-making process, they may alter the payoff of supervisors by imposing an action-specific career penalty on supervisors who propose mission-driven policy ($c \geq 0$). When this penalty is positive, the leader is enacting disruption.

Workers have types $\theta_w \in [0, 1]$ where higher values indicate that they hold a stronger preference for mission-driven policy. Worker types are drawn independently according to a uniform distribution $F(\theta_w) \sim U[0, 1]$. Workers gain a payoff equal to their drawn type by pursuing mission-driven policy. However, if a worker pursues mission-driven policy that diverges from the proposal of their matched supervisor, the worker receives a penalty for undermining the supervisor's 'hierarchical' authority $h \in (0, 1)$. Alternatively, workers may implement unaligned policy, which always returns a payoff of zero. The worker's utility is given by equation 1.¹⁰

$$u_w(M_w; M_{s(w)}) = \begin{cases} \theta_w & \text{if } M_w = M_{s(w)} = 1 \\ \theta_w - h & \text{if } M_w = 1 \text{ and } M_{s(w)} = 0 \\ 0 & \text{if } M_w = 0 \end{cases} \quad (1)$$

Turning to the supervisors, they care about the 'output' of the organization (Q), which will depend on the actions of the workers and is defined in terms of the ratio that is mission-driven.

Definition 1. Output is characterized by the degree to which the average enacted policy is mission-driven: $Q = E(M_w) = \int_0^1 M_w dF(\theta_w)$. Higher Q is more aligned with the organization's mission.

There are two types of supervisors: $T_{s(w)} = 1$, who prefer mission-driven policy, and $T_{s(w)} = 0$, who prefer unaligned policy. Supervisors types are drawn independently and the likelihood of being a mission-driven type is $B \in (0, 1)$. This yields the definition of underlying mission 'capacity,' which is initially exogenous but will become endogenous in the two-period model:

Definition 2. Mission capacity is the proportion of supervisors who are mission-driven in the organization: B . Capacity is greater when B is larger.

10. A worker being indifferent occurs with probability zero as their type is continuous.

Unaligned supervisors are non-strategic and always propose unaligned policy, $M_{s(w)} = 0$. Mission-driven supervisors hold the following utility function:¹¹

$$u_{s(w)}(M_{s(w)}) = \underbrace{Q}_{\text{Output}} - \underbrace{\begin{cases} c & \text{if } M_{s(w)} = 1 \\ 0 & \text{if } M_{s(w)} = 0 \end{cases}}_{\text{Career Penalty}} + \underbrace{B^2 \cdot \hat{v}}_{\text{Organizational Culture}} \quad (2)$$

In equation 2, the first term captures output. Mission-driven supervisors want overall policy to be as mission-driven as possible, hence they would like this entity to be larger. The second term is the career penalty that the leader may tie to proposing mission-driven policy. The third term captures organizational culture, which is a payoff received if a supervisor's matched worker believes their supervisor is a mission-driven type. This term is further outlined by Equation 3:

$$\hat{v}(\sigma_w(M_{s(w)})) = \begin{cases} v & \text{if } \sigma_w(M_{s(w)}) = Pr_w(T_{s(w)} = 1 | M_{s(w)}) > B \\ 0 & \text{if } \sigma_w(M_{s(w)}) = Pr_w(T_{s(w)} = 1 | M_{s(w)}) \leq B \end{cases} \quad (3)$$

After supervisors and workers take their policy actions, a supervisor's matched worker observes $M_{s(w)}$ and updates their belief (σ_w) of the type of their supervisor using Bayes' rule. If the worker holds a posterior belief greater than their prior belief that their supervisor is a mission-driven type, i.e., $\sigma_w > B$, their supervisor receives the culture payoff $v > 0$. Hence, workers reward supervisors only when they have clearly differentiated themselves from unaligned types. This payoff is increasing in capacity (B^2) to reflect the amplifying effect of peer pressure from other mission-driven supervisors on the returns to adhering to mission-driven culture.

Finally, to focus on instances of disruption, I examine when a leader is an unaligned type (they can be mission-driven in the two-period model). Their utility is given by equation 4.¹²

$$u_L(c) = -Q - c \cdot P \quad (4)$$

The first term indicates that the leader prefers the average enacted policy to be as close to unaligned with the institutional mission, i.e., 0, as possible. The second term represents that the leader must bear a disruption penalty ($P > 0$) for punishing supervisors. This penalty could capture

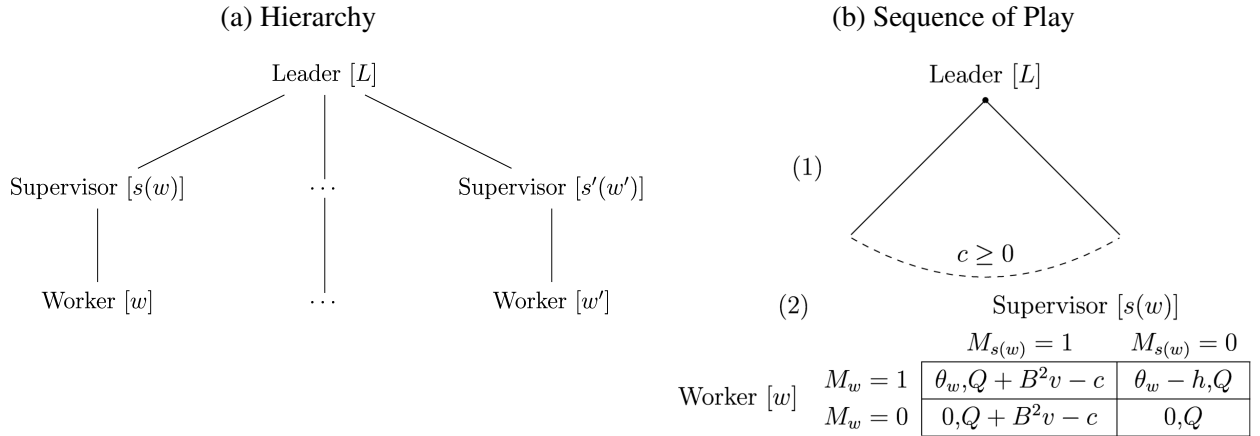
11. When a mission-driven supervisor is indifferent, they propose unaligned policy.

12. When the leader is indifferent, they implement the career penalty.

external oversight of the organization, e.g., U.S. Congressional oversight of public sector agencies, or the cost associated with monitoring supervisors, which would be required to implement the career penalty. The disruption penalty is multiplied by the severity of the career cost ($c \geq 0$). Hence, it is costlier to more significantly alter incentives within an organization.

Player types are private information only known to the actors themselves. The distributions of types, all penalties, and capacities are common knowledge. Actions are only observed within matched worker-supervisor pairs and by the leader. Payoffs are realized at the end of the game. Finally, I employ the solution concept pure strategy perfect Bayesian equilibrium and apply the Intuitive Criterion restriction to off-equilibrium path beliefs (Cho and Kreps 1987). Figure 1b illustrates the sequence of play.

Figure 1: Organizational Structure



Note: (1) Leader sets career penalty associated with proposing mission-driven policy. (2) Matched workers and supervisors determine policy (N.B. payoffs are for mission-driven supervisors).

Comment on Definitions Mission-driven policy is compared to output that is ‘unaligned’ with an organization’s fundamental mission. For example, an EPA bureaucrat could fully or minimally enforce environmental regulation. Unaligned policy may diverge in a number of ways. One common critique of politicized agencies is that they have been ‘captured’ by special interest groups, meaning private interests have shaped policy output in a manner that misaligns with the welfare of the general public. While a component of unaligned policy, capture may also occur at stages prior to bureaucratic enactment, such as during the legislative process (Carpenter and Moss 2013).

Hence, I admit a variety of policy outcomes besides capture. For instance, bureaucrats could be compelled to enact unaligned policy because they are demoralized by their work environment and simply do not put in effort or they prefer to prioritize their career-interests. They could even adhere to an ideology that aims to minimize government activity.

A drawback to focusing on mission alignment is that it requires a well-defined mission, the clarity of which may vary among agencies, shift across time, or become complicated by competing aims (Tirole 1994; Chun and Rainey 2005). Furthermore, this approach prioritizes codified agency goals set by legislation over (potentially extremely partisan) aims set by political appointees. This method may be perceived as de-emphasizing the link between citizens and democratic accountability of the public sector. Yet, an agency's mission also connects to the democratic process by deriving from foundational legislation (or later amendments) produced by elected legislators.¹³ Furthermore, the appendix includes an extension demonstrating that the insights from the model also apply to fulfilling the aims of an organization's leader instead of its institutional mission.

Moreover, U.S. legal scholarship has historically been critical of disobedience by public servants, even if acts of resistance align with an agency's mission (Nou 2019). To differentiate constructive defiance, Nou (2019) introduces the framework of 'civil service disobedience' whereby acts of resistance must benefit the welfare of citizens and be public-oriented, e.g., as whistleblower reports or the opposition of the EPA worker's union to Scott Pruitt's appointment. Rather than covert acts, such disobedience alerts the general public and politicians to extreme shifts that agencies may be experiencing, which allow appropriate channels to investigate the disruption and, ideally, remove the offending appointee.

Despite these challenges, my focus on institutional missions allows for the measurement of the state's long-term ability to achieve the legally directed aims of bureaucratic agencies. This approach further holds the benefit of employing the useful concept of capacity while avoiding a shortcoming common to measures of bureaucratic and state capacities whereby the meaning of 'full capacity' is often ambiguous due to unclear upper bounds, e.g., the number of bureaucrats

13. Should these democratic forces come into conflict, I contend new legislation is the appropriate manner by which to alter the orientation of an agency's mission rather than through the actions of political appointees.

employed. Instead, mission capacity specifies that an agency is operating at full capacity when output entirely aligns with an agency's mission. Moreover, this flexible definition is comparable across agencies or bureaucratic systems.

Analysis

Workers' decisions are driven by trading-off their preference for enacting mission-driven policy versus their expectation over being matched with a supervisor who proposes unaligned policy and, hence, would enforce the hierarchical penalty against them. As workers observe the career penalty set by the leader, which will be shown to shape the supervisors' behavior, workers can deduce the actions of the mission-driven and unaligned supervisors. However, because workers do not know the type of their matched supervisor, there is uncertainty over what their supervisor will propose. As outlined by Lemma 1, their expectation over the proposal, which is defined as the proportion of supervisors who propose mission-driven policy ($E(M_{s(w)})$), separates workers into categories.¹⁴

Lemma 1. *There are three categories of workers: 1) low mission-driven types who enact unaligned policy, 2) intermediate mission-driven types who enact mission-driven policy, and 3) highly mission-driven types who enact mission-driven policy. These groupings derive from the workers' best response function:*

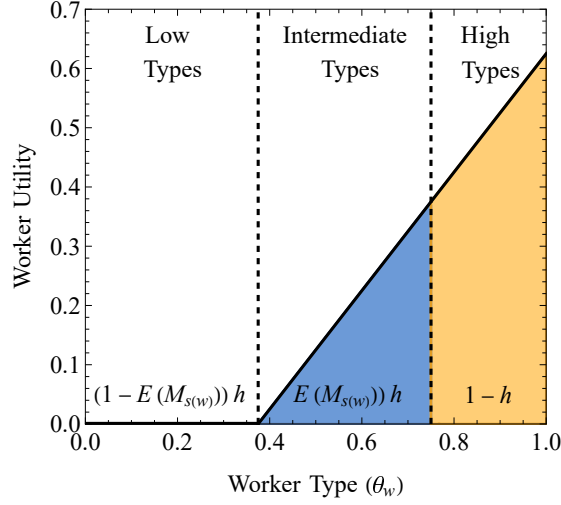
$$BR_w(M_w) = \begin{cases} M_w = 0 & \text{if } \theta_w < (1 - E(M_{s(w)}))h \\ M_w = 1 & \text{if } (1 - E(M_{s(w)}))h \leq \theta_w < h \\ M_w = 1 & \text{if } h \leq \theta_w \end{cases} \quad (5)$$

Figure 2 illustrates the three categories of workers. For low mission-driven workers ($\theta_w < (1 - E(M_{s(w)}))h$), it is never worthwhile to pursue mission-driven policy due to their relatively weak organizational motives. These workers may, instead, hold strong financial motives or could be particularly sensitive to the judgment of their supervisor. Next, there are intermediate mission-driven workers ($((1 - E(M_{s(w)}))h < \theta_w < h)$) who most clearly demonstrate how expectations shape output. These types would enact unaligned policy if they knew for certain their supervisor had proposed unaligned policy. Yet, these workers enact mission-driven policy because they believe

14. $E(M_{s(w)} = 1) = E(M_{s(w)})$ as an unaligned proposal is equal to 0.

there is sufficiently high likelihood that they face a supervisor who advocates for mission-driven policy. Finally, there are high mission-driven types ($\theta_w > h$) who always enact mission-driven policy because they are not susceptible to the threat of the hierarchical penalty. Members of this group may be highly public-spirited or even ‘policy zealots’ (Gailmard and Patty 2007; Moynihan and Pandey 2007).

Figure 2: Categories of Workers



Note: The solid line is the workers’ utility. The horizontal length of the center region is the proportion of intermediate mission-driven types and the length of the right-hand region is the proportion of high types (*specification:* $h = \frac{3}{4}$, $E(M_{s(w)}) = \frac{1}{2}$).

Given the workers’ best response, equilibrium output is given by Equation 6:¹⁵

$$Q = 1 - (1 - E(M_{s(w)}))h \quad (6)$$

Equation 6 shows that workers’ expectations over supervisor behavior shape the output of the organization and, when the hierarchical penalty is larger, supervisors’ actions are more influential on output. Hence, should a leader be able to shift the actions of supervisors, the negative impact on output will be greater in more hierarchical institutions. I next consider when the leader is able to disrupt the supervisors’ behavior.

Culture and Disruption I focus on the proposal by mission-driven supervisors as unaligned supervisors are non-strategic and always propose unaligned policy. Lemma 2 outlines that when the payoff to adhering to a organizational culture outweighs the career penalty enacted by the

15. As output is $Q = E(M_w)$, then $Q = \int_{(1-E(M_{s(w)}))h}^1 M_w d\theta_w + \int_0^{(1-E(M_{s(w)}))h} M_w d\theta_w = 1 - (1 - E(M_{s(w)}))h$.

leader, then all mission-driven supervisors will defy the leader.¹⁶

Lemma 2. *For $c < B^2v$, mission-driven supervisors propose mission-driven policy. For $c \geq B^2v$, they propose unaligned policy.*

To receive the culture payoff, supervisors must convince their matched worker that they are mission-driven. They can do so by proposing mission-driven policy, which distinguishes them from unaligned supervisors, thereby leading their matched worker to use Bayes' Rule to update their beliefs regarding their supervisor's type. For a norm of mission-compliance to exist, mission-driven supervisors must take the focal action of proposing mission-driven policy. However, as I define a norm as holding when a focal action occurs repeatedly across time, I will fully characterize when this norm exists in the two-period game.

Additionally, the best response of the supervisors specifies the workers' expectation over the proposal of their matched supervisor. When mission-driven supervisors propose a policy aligning with their type, workers hold the expectation that the policy will be mission-driven with a likelihood aligning with the organization's mission capacity, $E(M_{s(w)}) = B$. Returning to Figure 2, all workers to the right of the left dashed line enact mission-driven policy (i.e., the blue and orange regions). Conversely, if it is focal for mission-driven supervisors to propose unaligned policy, then a worker will expect the proposal is mission-driven with probability zero. In this case, only high mission-driven workers (values above the right dashed line) enact mission-driven policy.

Finally, turning to the leader, they can alter the proposals of mission-driven supervisors by setting a sufficiently high career penalty, which Lemma 3 outlines.

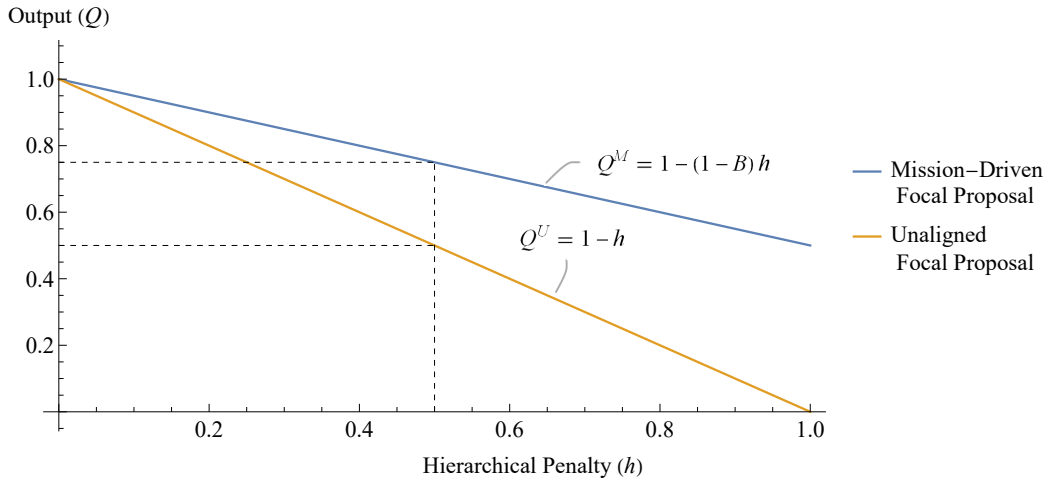
Lemma 3. *If $P \leq \frac{h}{vB}$, the leader imposes a career penalty of $c = B^2v$. Otherwise, they do not impose a penalty: $c = 0$.*

Either the career penalty is a credible threat that forces mission-driven supervisors to propose unaligned policy or it is ineffective at shifting their proposals and the leader sets $c = 0$. The leader ties a career penalty to supervisors proposing mission-driven policy when the benefit of workers shifting from enacting mission-driven to unaligned policy outweighs the corresponding disruption

16. An individual supervisor's proposal has no impact on overall output as workers' types are continuous.

penalty that the leader must pay. The size of this policy shift, which is increasing in the strength of hierarchical authority, is outlined by Figure 3. Equivalently, by altering the proposals of the supervisors, the workers in the blue region in Figure 2 shift from enacting mission-driven to unaligned policy. Then, only highly mission-driven workers enact mission-driven policy. Thus, a leader enacting disruption serves to differentiate workers who are willing to acquiesce from those who are highly mission-driven.

Figure 3: Mission-driven Output Shaped by Hierarchy



While a high disruption penalty (P) disincentivizes the enactment of a career penalty by the leader, the organization is also potentially protected from disruption by culture. The career penalty must at least match the culture payoff to force mission-driven supervisors to propose unaligned policy. Should culture be a strong motivator for mission-driven supervisors (i.e., a high v), the level of career penalty that the leader must set to alter output would entail an associated disruption penalty that may be too onerous to make enacting disruption worthwhile. Moreover, as the return to complying with culture is increasing in the proportion of mission-driven supervisors, the leader is less likely to enact disruption when an organization boasts higher levels of mission capacity. This result will also have important implications when considering how capacity may endogenously shift in the two-period model considered next.

Discussion

The model details how a leader can shift supervisors' career incentives, thereby reducing workers' expectations that supervisors' actions will be aligned with their organization's mission and

harming output by altering workers' choices. This outcome is shaped by two forms of internal accountability: the hierarchical penalty that supervisors impose on workers and the culture payoff that workers confer on their supervisors, while the disruption penalty serves as an additional check.

As shown in Figure 3 (where $B = \frac{1}{2}$), output unambiguously suffers under hierarchical organizations. Hierarchical authority, even held by mission-driven supervisors, can serve to further undermine output when they propose unaligned policy. Moreover, the gap between the two focal outcomes widens at higher levels of hierarchy because the proportion of highly mission-driven workers who can tolerate the hierarchical penalty diminishes. As a result, hierarchy increases the incentives for a leader to disrupt an organization because there are greater returns to doing so. Hence, bureaucratic agencies with notably hierarchical structures are likely to be most susceptible to disruptive appointees. While hierarchy can be useful, particularly in developing contexts to avoid shirking (Berwick and Christia 2018), such arrangements also potentially pose a risk to mission-driven output once an agency is staffed with numerous capable, mission-driven employees. Nevertheless, an agency's culture may serve to limit the effects of greater hierarchical authority by necessitating higher levels of career punishment to shift output. Thus, building a culture oriented toward mission-compliance is particularly salient in deeply hierarchical organizations, as these are the types of structures where there is the greatest incentive for institutional disruption.

Institutional hierarchy can be measured by the degree of centralized decision-making authority, which is consistent with Administrator Gorsuch centralizing rule-making to better control the EPA (Golden 2000). Hierarchy can also be measured by the number of political appointees within an agency, which makes the organization more susceptible to political influence (Lewis 2008). Using this measure, Reenock, Konisky, and Uttermark (2021) find that greater institutional hierarchy hampered state-level enforcement activity related to the U.S. Clean Air Act. Moreover, hierarchy and the politicization of agency appointees appear to have favored private interests in the allocation of major federal procurement contracts (Krause and Zarit 2022). In addition, government systems vary in their degree of hierarchical control, e.g., centralized governments exert greater control over bureaucrats compared to more diffuse systems such as federal regimes (Soifer

2015). Thus, the model suggests that centralized bureaucratic systems may be more easily diverted from their mission by the appointment of disruptive leaders.

A key factor mitigating disruption is organizational culture. Social pressures and internal networks can serve as powerful motivation and may render certain behavior focal.¹⁷ Culture is operationalized in the model in terms of supervisors caring about their reputation for being perceived as mission-driven by their workers, an incentive which is reinforced by peer pressure from other supervisors. Hence, culture captures a supervisor’s transactional authority within their principal-agent relationship to a worker (Carpenter and Krause 2015) and relates to “reciprocal hierarchy,” which Nou (2019) argues should characterize agencies in order for leaders to avoid disobedience by workers. Thus, should highly mission-driven workers and supervisors be motivated to doggedly pursue an agency’s mission, culture serves to encourage those who hold weaker mission-motivations to do so as well.

Another salient factor is the disruption penalty imposed on the leader. This parameter can be interpreted as oversight, such as by an external committee that evaluates the actions of a leader and may impose a penalty. Oversight could occur internally to the organization, such as the whistleblower reports or critical internal review boards that characterized the Pruitt and Wheeler tenures at the EPA. Moreover, it could capture external institutional oversight, e.g., the Congressional hearings of EPA Administrator Gorsuch. This latter interpretation highlights that institutional checks-and-balances may serve as a critical monitor of disruptive public sector leadership. Thus, oversight may be a critical component to ensuring the maintenance of mission-driven governance.

I next consider the implications of institutional disruption for long-term mission capacity and consider when a ‘norm of mission-compliance’ may exist.

Two-Period Model: Capacity Reversals and Norms

The policy-making process is now twice repeated ($t \in \{1, 2\}$) and mission-driven supervisors may exit the organization following the first-period, $e_{s(w)} \in \{\text{leave}, \text{stay}\}$.¹⁸ Mission-driven supervisors

17. For example, while employee turnover was common, social networks were largely responsible for the longevity of career officials in the U.S. Department of Agriculture at the turn of the 20th century (Carpenter 2002).

18. As it is often challenging to dismiss merit-recruited bureaucrats, I forgo modeling their firing (Lewis 2008).

who leave receive the outside payoff $\phi > 0$ and are replaced in the second-period by a mission-driven type with probability $B_r \leq B_1 \in (0, 1)$. To focus the analysis on disruption, the leader remains unaligned in the first-period ($T_L = 0$). However, there is now an exogenous likelihood $\tau \in (0, 1)$ of the leader turning over to a mission-driven type ($T_L = 1$) in the second-period.¹⁹ Turnover could represent a change of administrations following an election or the leader's dismissal. Equation 7 gives the mission-driven supervisor's second-period utility:

$$u_{s(w),2}(e_{s(w)}) = \begin{cases} \phi & \text{if } e_{s(w)} = \text{leave} \\ \underbrace{\tau \cdot u_{s(w),2,1}(M_{s(w),2,1})}_{\text{Leader Turnovers}} + \underbrace{(1 - \tau) \cdot u_{s(w),2,0}(M_{s(w),2,0})}_{\text{Leader Remains}} & \text{if } e_{s(w)} = \text{stay} \end{cases} \quad (7)$$

I use the previous solution concept and belief restrictions.²⁰ Regardless of the leader, unaligned supervisors do not leave and propose unaligned policy as they are non-strategic. Additionally, I restrict attention to the payoff-dominant outcome in regards to mission-driven supervisors' exit decision but later weaken this assumption.²¹ The sequence of play is summarized in Table 1.

Table 1: Two-Period Sequence of Play

Period 1	Period 2
1. Types are drawn; workers & supervisors are matched.	1. New supervisor types are drawn (B_r); leader can turn over (τ); workers & supervisors are matched.
2. Leader sets career penalty (c_1).	2. Leader sets career penalty (c_2).
3. Supervisors propose ($M_{s(w),1}$) & workers enact policy ($M_{w,1}$).	3. Supervisors propose ($\mathbf{M}_{s(w),2,T_L}$) & workers enact policy ($\mathbf{M}_{w,2,T_L}$).
4. Mission-driven supervisors can exit.	

Supervisor Exit The first-period policy process matches the single-period model. Following this step, mission-driven supervisors may choose to leave the organization to receive the outside option. Exiting has the benefit of assuring that mission-driven supervisors avoid the career penalty as well as having to potentially implement unaligned policy. Lemma 4 outlines this decision.

19. A mission-driven leader's per-period utility is $u_{L,t} = Q_t - c_t \cdot P_t$. They do not punish in equilibrium.

20. A mission-driven supervisor stays when indifferent. There is no discounting across periods and workers know if their supervisor is an incumbent or new to the organization in the second-period. The second-period strategies of supervisors ($\mathbf{M}_{s(w),2,T_L}$) and workers ($\mathbf{M}_{w,2,T_L}$) are vectors of actions that depends on the leader's type and if the worker has learned their supervisor's type. The appendix details that learning does not impact overall policy.

21. I focus on the payoff-dominant outcome as it is Pareto optimal in regards to mission-driven supervisor utility. Harsanyi and Selten (1988) also contend that the payoff-dominant equilibrium is more likely in coordination games.

Lemma 4. *For low-levels of second-period disruption penalty ($P_2 \leq \frac{h}{vB_1}$), mission-driven supervisors remain when given $\phi \leq \phi_L \equiv \tau B_1(h + B_1 v) + (1 - h)$ and leave otherwise. For high-levels of disruption penalty ($\frac{h}{vB_1} < P_2$), they remain given $\phi \leq \phi_H \equiv 1 - (1 - B_1)h + B_1^2 v$ and leave otherwise.*

For mission-driven supervisors, the decision to exit depends on the relative value of the outside option versus the expected return to remaining. The mission-driven leader never implements a career penalty and so the second-period payoff depends on if the unaligned type is willing to do so. Forceful future disruption penalty prevents an unaligned leader from enacting disruption. However, a weak penalty entails that the second-period outcome depends on organizational culture. Ultimately, mission-driven supervisors may prefer exiting the organization to capitulating to an unaligned leader or receiving a career penalty. Yet, by exiting, mission-driven supervisors harm future mission capacity and, therefore, culture.

Note that, if mission-driven supervisors leave, capacity falls to $B_2 = B_1 B_r < B_1$. Due to weakened culture in the second-period, the unaligned leader is willing to impose the career penalty despite the cost ($c_2 \cdot P_2$) at a higher disruption penalty threshold $P_2 \leq \frac{h}{vB_2}$ (where $\frac{h}{vB_1} < \frac{h}{vB_2}$) because the direct cost of the career penalty is reduced to $c_2 = B_2^2 v < B_1^2 v$. However, this higher threshold does not come into equilibrium play. This is because when the disruption penalty is above $\frac{h}{vB_1}$, it is sufficient to mobilize mission-driven supervisors to remain, because the complementarity derived from them all staying keeps the culture payoff high. Therefore, any second-period disruption penalty above $\frac{h}{vB_1}$ has the same effect: all mission-driven types will remain (given that the outside option is not greater than the maximum payoff to staying set by ϕ^H). Conversely, if the penalty is less than this threshold, the leader will be willing to disrupt even if all mission-driven supervisors stay (keeping culture strong). This establishes a lower threshold for the outside option when mission-driven supervisors leave, ϕ_L (where $\phi^L < \phi^H$). Thus, mission-driven supervisors will be more inclined to leave for less attractive external opportunities if the disruption penalty is too low.

In addition, observe that, as the probability that the leader will turn to a mission-driven type increases, mission-driven supervisors are willing to stay for higher values of the outside option, i.e., ϕ^L increases in τ (given the second-period leader imposes a career penalty). Furthermore,

while the likelihood of turnover does not shift the leader's first-period decision, by disincentivizing supervisor exit, a high probability of leader turnover may maintain a strong culture that leads even an unaligned second-period leader to forgo disruption should they remain in power.

Equilibrium Trajectories Proposition 1 outlines the three types of equilibrium trajectories an organization may follow in the two-period model as well as the corresponding outcomes for mission capacity and organizational output (see the appendix for the mathematical conditions):

Proposition 1. *The unique pure strategy perfect Bayesian equilibrium has three trajectories:*

1. **Erosion.** *Mission-driven supervisors leave due to a combination of weak future disruption penalty, culture or initial capacity, a low likelihood of turnover to a mission-driven leader, and/or a valuable outside option.*
2. **Temporary Reversal.** *Mission-driven supervisors remain but propose unaligned policy for at least one period. This occurs given a strong future disruption penalty and a low outside option, or a weak disruption penalty and a low outside option relative to the likelihood that the leader is mission-driven in the second-period.*
3. **Resistance.** *Mission-driven supervisors remain and propose mission-driven policy in every period due to a strong disruption penalty, culture, and initial capacity as well as a comparatively low outside option.*

Table 2 summarizes the relationship between equilibrium trajectories and mission outcomes. Returning to the definition of a norm of mission-compliance, as the single-period model illustrates, culture and the disruption penalty can produce periods of mission-driven policy-making despite an unaligned leader. However, this focal outcome must be repeated across time to establish a stable expectation that constitutes a norm. Therefore, only an organization that experiences the 'resistance' trajectory possesses a norm of mission-compliance that characterizes an organization immune to disruption. In the absence of such conditions, when a leader implements disruption, there are likely to be periods of unaligned policy and the quality of output will fluctuate. Moreover, should disruption lead to an exodus of mission-driven supervisors, there will be a permanent reversal of mission capacity and output. This finding underscores the link between the capacity to

produce policy that conforms to an institution’s mission and when that outcome actually occurs.

Table 2: Equilibrium Trajectories and Mission Outcomes

Trajectories \ Outcomes	Mission Capacity	Mission Output
Resistance	<i>High</i>	<i>High</i>
Temporary Reversal	<i>High</i>	<i>Low</i>
Erosion	<i>Low</i>	<i>Low</i>

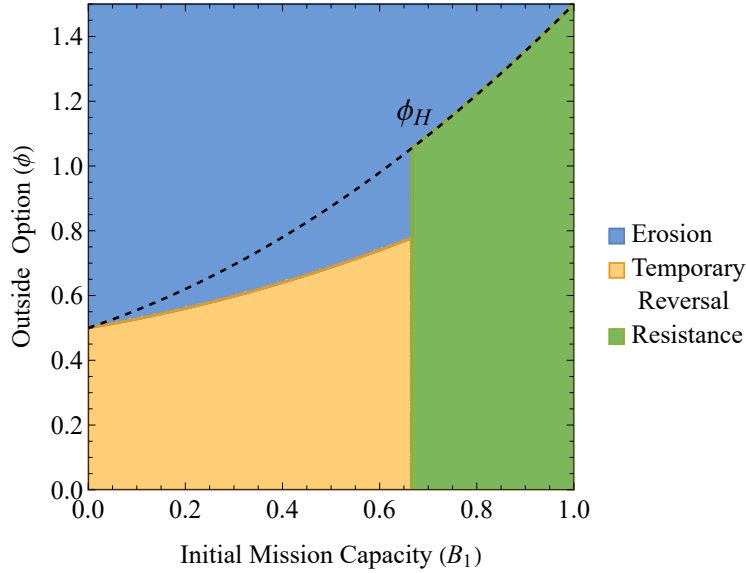
Discussion

The equilibrium trajectories chart the pathways an organization may follow when faced with disruption. A critical ingredient is initial mission capacity, which determines the unaltered level of output and the strength of organizational culture. Figure 4 demonstrates how the equilibrium trajectories depend on initial capacity and the outside option. In the green region, high initial capacity facilitates the existence of a norm of mission-compliance, which characterizes the resistance trajectory. Hence, cultivating high-levels of capacity, such as through recruitment practices, may serve to protect long-term mission-driven output. Below a threshold of initial capacity, an unaligned leader is willing to disrupt in the second-period (this occurs to the left of the green region). Then, for mission-driven supervisors, leaving (the blue region) becomes preferable at lower-levels of the outside option. This region may align with low-paying government positions in a number of Latin American nations, which can entail that public sector careers are short-lived and high-skilled workers often leave for the private sector (Naím 1994). Lastly, the lower yellow region highlights that, if a developing nation has limited private sector opportunities, bureaucrats may be hesitant to leave an agency despite experiencing disruption. Then, an agency may retain its (low) level of mission capacity because supervisors care more about the benefits of retaining their job, even if it requires enacting unaligned policy. In this sense, a robust private sector can potentially undermine the retention of strong capacity.

The value of the outside option could be shaped by a variety of factors. It could be diminished relative to remaining within public sector agencies that involve activities that are generally difficult to replicate in the private sector. For example, this includes agencies that take on an active policy-making role, e.g., the U.S. State Department. Moreover, stronger public sector unions have

been found to diminish government outsourcing and likely provide enhanced employee benefits (Potter 2022), which may make it more attractive to remain at an agency. Conversely, the value of the outside option could be enhanced by the displeasure of working in an environment under disruption. Moreover, in regulatory agencies, such as the EPA, enforcement work is often repetitive and tedious. Hence, employees may value joining the private sector over conducting such work, particularly if they are pushed towards enacting unaligned policy.²²

Figure 4: Equilibrium Trajectories



Note: Initial mission capacity versus outside option. The dashed line is the maximum payoff a mission-driven supervisor receives from remaining (*specification:* $P_2 = 1.5$, $h = \frac{1}{2}$, $\tau = \frac{1}{2}$, $v = \frac{1}{2}$).

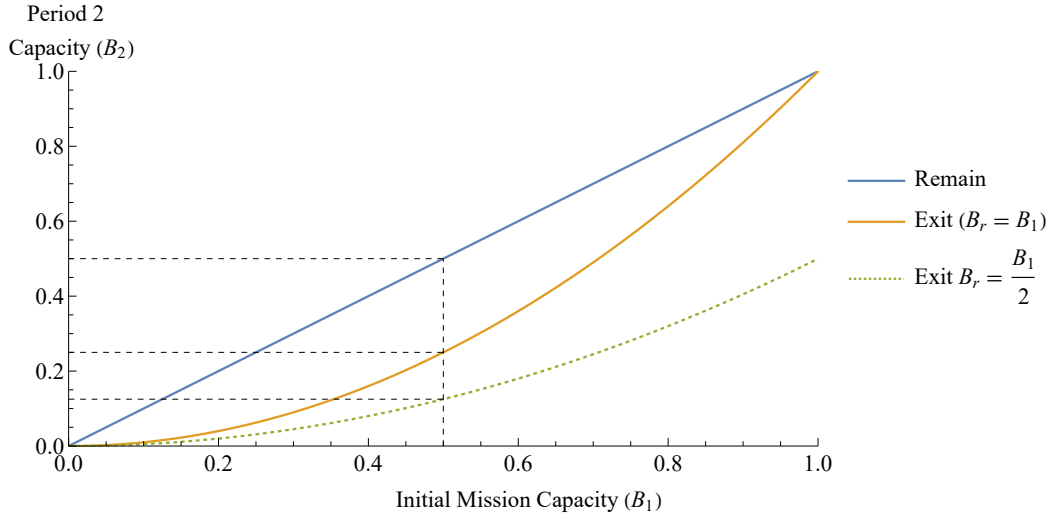
Should erosion occur, the replacement rate of mission-driven supervisors determines the severity of the decline in mission capacity. Figure 5 compares second-period capacity when mission-driven types remain versus when they leave and are replaced at different rates. The middle line is when mission-driven types enter the organization at the same rate as initial capacity. Because both mission-driven and unaligned types join, but only mission-driven supervisors are replaced, capacity falls.²³ The replacement rate is halved for the bottom line, further exacerbating capacity erosion. This scenario captures how mission-driven job seekers may be disinclined to join a seemingly politicized agency. Moreover, erosion not only reduces second-period output, but, as

22. A former U.S. government employee highlighted several of these motivations during an interview (April, 2021).

23. Rehiring public sector employees is unlikely in the short term due to the time-consuming hiring process. However, an agency may recover if workers transfer to another agency but then return under new mission-driven leadership.

culture is also weakened, it would be easier for the unaligned leader to enact disruption.²⁴

Figure 5: Future Capacity by Replacement Rate and Initial Capacity



Additionally, note that the output following the erosion trajectory depends on whether turnover occurs. Should a mission-driven leader take over, there may still be mission-driven output, but at a diminished level. Furthermore, an extension in the appendix considers when the replacement rate is a function of initial capacity and the probability of leader turnover. Both factors can serve to assuage the long-term damage to output from erosion. The extension reveals how turnover to mission-driven leadership may even outweigh the benefits of higher initial mission capacity in mitigating the negative effects of erosion. For example, the appointment of widely-respected Administrator William Ruckelshaus to the EPA after Gorsuch quickly led to curtailed employee departures and the initiation of rebuilding the agency (Mintz 2012).

Finally, Lemma 4 outlines how a higher likelihood of turnover to a mission-driven leader enhances incentives for supervisors to remain at an organization. One interpretation of this result is that a higher likelihood of a change of political administrations enhances the resolve of mission-driven supervisors to remain in the public sector. This outcome reflects EPA employees who “hunkered” down in hopes of out-lasting Administrator Gorsuch (Golden 2000). Similarly, EPA employees under the Trump administration prior to the 2020 election likely traded-off leaving the agency versus the probability that presidential challenger Joe Biden would win and appoint an

24. Erosion may also undermine the accumulation of policy expertise and managerial maturation (Lewis 2008).

administrator more aligned with the EPA’s mission.

This result also serves to augment past research into the implications of political turnover. Because politicians do not internalize the long-term benefits of their decisions, political turnover is thought to undermine incentives to invest in the state (Besley and Persson 2009) and insulate bureaucrats from politics (De Figueiredo 2002). However, by taking the perspective of bureaucrats rather than politicians, turnover may also prove beneficial by retaining mission-driven bureaucrats who anticipate a return to mission-oriented leadership.

Extensions

The appendix details a number of extensions. I expand on two, concerning, respectively, when mission-driven supervisors’ posts are left empty and the lasting effects of organizational culture.

Failing to replace mission-driven supervisors can serve to undermine an organization’s mission without the potential fallout from firing employees. This is a common technique in the U.S. public sector, where empty leadership posts have been found to have the added effect of harming agency culture. For example, many posts were left empty at the U.S. Occupational Safety and Health Administration under the Trump administration, which undermined its regulation of workplace safety (Kinane 2021). The appendix details that when mission-driven supervisors’ posts are left empty, unaligned supervisors are empowered and organizational culture is undermined. This outcome is equivalent to when unaligned policy is focal in the baseline model but where, now, the leader may avoid the disruption penalty. Therefore, leaving posts empty may prove a more effective plan for institutional disruption as it is less costly than shifting employee behavior.

In addition, note that the exit decision of mission-driven supervisors incentivizes coordination because their collective decisions determine the second-period culture payoff. The baseline model partially assumed away this dynamic by focusing on the payoff-dominant outcome. In the appendix, however, I relax this assumption, which serves to reveal the path-dependent nature of organizational culture. Now, for an intermediate range of external options, there is both a “payoff-dominant” outcome, where mission-driven supervisors prefer to stay if all others stay, and a “risk-dominant” outcome, where all supervisors leave if others leave (this region is visualized

in the appendix). For low levels of initial capacity, mission-driven supervisors who stay will propose unaligned policy because culture is weak. For high levels of initial capacity, they will propose mission-driven policy because culture is strong. Between these regions, however, their coordinated exit decisions dictate future output. If all mission-driven supervisors stay, second-period culture is strong enough to discourage disruption. However, if they leave, future culture is weakened to the point that a leader can orchestrate disruption. In this liminal space, with the same initial capacity and outside options, the balance of culture, and, therefore, future output, can tip in either direction depending on whether mission-driven supervisors decide to leave or remain in mass.

Which coordinated outcome is to be expected? Although outside the model, it may be that the risk-dominant outcome holds when an agency appears to be a sinking ship. For example, Administrator Gorsuch's tenure at the EPA led to initial resignations that damaged morale and then led to further waves of resignations (Golden 2000). The payoff-dominant outcome of remaining may hold given the tendency of public agencies to recruit mission-driven employees. The will to stay could also be driven by long-term institutional forces that go beyond immediate social pressures directly captured in the model to shift the threshold at which bureaucrats prefer to leave the public sector and erosion occurs. These could include informal traditions that forge solidarity or even formal institutions, such as an office of mission support.

For instance, the resistance displayed by EPA employees under the Trump administration contrasts with the less public reaction during Administrator Gorsuch's tenure. A number of factors may account for this difference, but one reason could be the establishment of a stronger culture (captured in the model by the term νB^2). Institutional legacies could also play a role. The agency was a decade old when Gorsuch became administrator. Over the next 30 years, organizational culture likely strengthened as mission-driven supervisors became embedded high in the organization's fabric and the agency gained experience with a disruptive leader. Therefore, while the EPA in its early years may have had a lower threshold for erosion (aligning with the risk-dominant outcome), the agency of more recent years may possess a higher threshold (the payoff-dominant outcome).

Empirical Applications

The equilibrium trajectories may serve to elucidate historical instances of attempted institutional disruption in public sector agencies and international organizations. In order to identify cases, it is useful to differentiate policy changes from actions that undermine an institutional mission.

Elected politicians may legitimately alter the aims of federal agencies. For example, the U.S. Department of Justice (DOJ) shifting its legal position related to the use of recreational drugs in response to a change of administrations would not constitute disruption. Hence, for policy-making agencies, disruption may be more challenging to identify, although outright corruption where policies are illegally shaped by private interests is a clear case. In contrast, it is more straightforward to characterize disruption in regulatory agencies where output is readily measurable. For instance, a noted drop in the number of pollution inspections performed as a result of the actions of an appointee is a clear case of disruption of the EPA's mission.

Nonetheless, disruption may also occur in non-regulatory agencies and, furthermore, is not unique to right-wing political parties that often oppose the regulatory role of the state.²⁵ For example, frustrated by Congressional inaction, Democratic President Barack Obama enacted “Deferred Action for Parents of Americans.” This executive order would have deferred deportation of undocumented immigrants who had children that were American citizens, thereby altering the mandate of the Department of Homeland Security. While the U.S. executive has authority over immigration, a key contention was that such a sweeping alteration in the mission of an agency should have been made by Congress. The order was ultimately blocked by judicial action (Liptak and Shear 2016).

Erosion The tenure of EPA Administrator Gorsuch appears to align with the erosion trajectory, particularly in regards to the agency's Office of Enforcement. Gorsuch made it clear to employees that active enforcement would be detrimental to their career and, as a result, many left the agency — often citing concerns over the inability to complete their work (Golden 2000; Mintz 2012). This diminished the agency's mission capacity and also had a long-term adverse impact on the output

25. The U.S. Federal Communications Commission has been perceived to be captured by private interests under the tenure of both Republican and Democratic leadership (Crawford 2013).

of enforcement activity. The reversal was so acute that subsequent agency leadership focused on “restor[ing] the agency’s capacity to enforce its laws and regulations (Golden 2000).”

This trajectory also aligns with disruption of the public sector in Brazil. Returning to environmental regulation, President Jair Bolsonaro (2019-2022) led a sweeping attack on environmental protection. This tactic led the head of the agency that protects the Amazon to dismiss the majority of state agency leaders and alter policies to undermine environmental enforcement (Wallace 2019).

Finally, there appears to have been signs of erosion in the U.S. public sector under the Trump administration. In regards to foreign policy agencies, Drezner (2019) argues that the Trump administration attempted to shift internal goals to be more isolationist. While these efforts appear to have largely failed, they did reportedly lead to resignations that diminished the expertise of relevant agencies. Moreover, the Trump appointee who led the U.S. Consumer Financial Protection Bureau appeared to successfully curtail nearly all regulatory activity (Confessore 2019).

Temporary Reversal While unaligned output is produced in both the erosion and temporary reversal trajectories, in the latter case, mission-driven supervisors do not leave the organization. Hence, this trajectory may speak to more moderate and fleeting periods of unaligned policy. Returning to Brazil, Bersch, Praça, and Taylor (2017) highlight how levels of capture by private interests vary across state agencies. Furthermore, DOJ Attorney General William Barr (2019-2020) was perceived as violating the agency’s “norm of independence” from politics that serves to combat corruption and safe-guard the rule-of-law (Benner 2020). While Barr’s actions, such as ordering federal prosecutors to drop perjury charges against Trump affiliate Michael Flynn, directly undermined this norm, the actions were particularly tied to Barr’s time in control of the agency.

This outcome may also address periods of unaligned policy output from international organizations, which may be characterized by disruptive leadership or captured policy aimed at the interest of specific nations. For example, the IMF’s original mission was to help sort out sovereign debt crises. Yet, the IMF’s actions often appear to have specific political aims, particularly in regards to funding nations that hold favorable relationships with the United States. However, the IMF appeared to return to its original purpose through its European bailouts related to the 2008

Financial Crisis. Similarly, the World Bank has been found to deviate from its “stated objectives” by favoring the developing nations preferred by the United States (Vreeland 2019), which can partially be attributed to internal bureaucratic dynamics and norms (Weaver 2008).

Resistance Perhaps the archetypal instance of resistance is the ‘Saturday Night Massacre’ where top officials at the U.S. DOJ resigned rather than fire a special prosecutor investigating President Richard Nixon for his role in the Watergate scandal. The fallout would contribute to Nixon’s eventual resignation. Moreover, select agencies characterized by highly mission-driven employees exist in otherwise captured settings. For example, certain public sector agencies in Peru, most notably in health policy, were able to withstand disruption through employing competent, agency-oriented workers (Dargent 2015). Similarly, Schuster et al. (2021) delineate resistance in the Brazilian Ministry of Planning, Development, and Management and, more generally, found that public sector employees who possessed high-levels of ‘public-service-motivation,’ which closely aligns with mission-driven preferences, were more likely to voice concerns and undermine agency leaders. These findings relate to the phenomenon of ‘islands of efficiency’ created by largely independent, technocratic workers in low-capacity settings (Bersch, Praça, and Taylor 2017).

Returning to the World Bank, when President George Bush’s appointee to head the institution, Paul Wolfowitz (2005-2007), attempted to quickly shift organizational priorities and made controversial appointments, employees openly raised objections, particularly once it was revealed he had provided benefits to an employee with whom he had a romantic relationship (Weaver 2008).

Finally, as noted above, there have been prominent acts of resistance to EPA Administrators Pruitt and Wheeler. Additionally, aligning with the model, as it became increasingly likely Joe Biden would be elected president and, therefore, there would be turnover to a more mission-aligned administrator, acts of resistance became more common (Friedman 2020b). Nonetheless, there have also been reports of harmed agency output and employee departures, which undermined the agency into the next administration (Davenport, Friedman, and Flavelle 2021). More time is likely required to determine which of the equilibrium trajectories most aligns with recent events at the EPA. However, the agency appears to have experienced elements of all three trajectories, indicating

that the model's trichotomy is a useful if imperfect guide to chart an agency's historical arc.

Implications for Bureaucratic and State Capacities

The results may also speak to the literature on bureaucratic and state capacities. State capacity research generally focuses on whether a government can fulfill the wishes of a ruler, regardless of their desired policy-ends (Besley and Persson 2009; Tilly 2017; Berwick and Christia 2018). While susceptible to dramatic shifts in aims as leaders change, this approach may be most suitable when applied to historical, non-democratic settings. Modern, particularly democratic states, have more permanent goals than the transient wishes of rulers. Weberian conceptualizations of long-lived bureaucratic agencies are characterized as neutral, meritocratic, and stable – and which, thereby, provide a government legitimacy (Weber 1978).

Hence, I contend that a useful measure for judging if a nation is operating at 'full capacity' is to examine if its composite public sector agencies are producing policy that aligns with their legislatively-mandated missions. Accounting for the degree to which public sector output is mission-driven may serve to address a critical component in determining high-levels of bureaucratic capacity, i.e., when bureaucracies function well. Moreover, by examining institutional missions rather than the aims of temporary leaders, the study may also address if an advanced, industrialized nation is operating at full state capacity over the long-run. In this sense, institutional disruption could be interpreted as not only undermining mission capacity but also encroaching upon state capacity. In addition, a model extension in the appendix permitting expertise by mission-driven supervisors details how the results may apply to the prevailing definition of state capacity, which centers on fulfilling the aims of political leadership.

Finally, despite holding direct consequences for its functioning, the organizational complexities of government remain largely overlooked by state capacity research (Williams 2021). By considering organizational-level analysis, studies of bureaucratic politics may underline the fundamental connection between levels of bureaucratic capacity and state capacity. Moreover, such studies can address factors such as the retention of mission-driven employees, which may provide micro-foundations for state capacity research going forward.

Conclusion

Organizations and government institutions often hold durable, overarching goals that span regimes. Yet, the capacity to achieve an organization's mission and when it actually occurs depends significantly on internal institutional dynamics. Stark misalignment between the aims of leadership and its established organizational missions can beget disruption. The study details the three trajectories an organization may follow: temporary reversal, erosion, and resistance. The results suggest that organizations should aim to cultivate a culture that may manifest a norm of mission-compliance in order to serve as a check on disruption. Moreover, by detailing the drawbacks to hierarchy and benefits to leadership turnover, the results underscores implications for institutional design that highlight potential differences between forging initial administrative compliance and maintaining long-term mission-adherence.

Additionally, when organizational culture is insufficient to combat disruption, it is also critical that there exist responsive checks on leadership. The EPA represents a case where Congressional oversight did halt the actions of Administrator Gorsuch and where subsequent agency leaders were able to build a strong culture that helped restore mission capacity and combat future disruption. An intriguing avenue for future research is to examine rebuilding capacity in disrupted agencies. Furthermore, while the model focuses on a norm of compliance and negative disruption, the findings can begin to speak to the challenges a positive reformer faces in changing an agency afflicted by negative practices, e.g., a corrupt tax agency or a law enforcement bureau characterized by discriminatory practices. Examining how positive transformative leadership may shift negative norms represents another path for future study.

Overall, as nations navigate high-stakes issues, such as climate change, it will be ever more pressing for governments to implement mission-driven policy designed to address these challenges. It is critical to understand the institutional conditions — including informal norms and formal checks — under which government agencies are most likely to accomplish their long-term, mission-oriented goals, regardless of obstacles potentially conjured by future disruptive administrations. It is only by possessing a sustainable capacity to achieve these ends that nations may

ensure that they will be prepared to meet the moment.

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Appendix: Reversals of Capacity: Norms, Culture, and Institutional Disruption

Daniel A. N. Goldstein

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A Empirical Reversals of Capacity

A.1 U.S. Environmental Protection Agency’s Reversal of Mission Success

The push towards non-compliance with the EPA’s mission under the leadership of Administrators Pruitt and Wheeler has been felt among career workers. Figure 1 shows the results of the yearly Federal Employee Viewpoint Survey for EPA employees (OPM 2019) and demonstrates they believe their agency has been less successful at accomplishing its mission under President Trump’s political appointees.

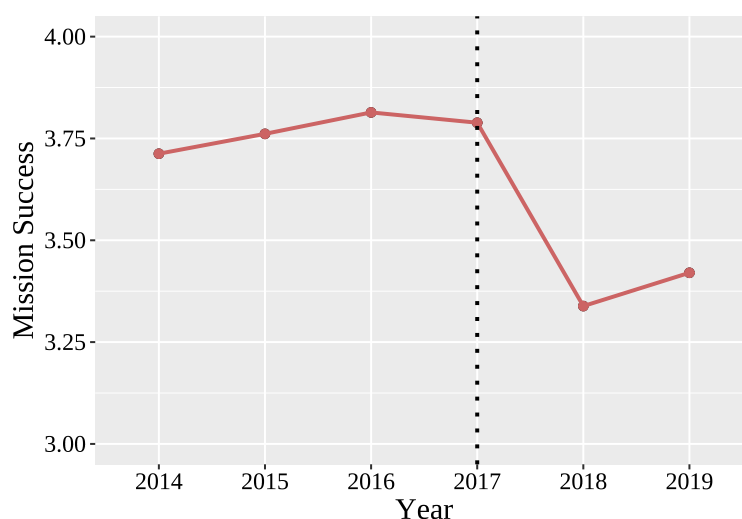


Figure 1: Perceived EPA Mission Success. Average yearly response by EPA employees to: “My agency is successful at accomplishing its mission.” 1 is “strongly disagree” and 5 indicates “strongly agree.” The vertical line is the year when Administrator Pruitt received Senate approval.

A.2 Reversals of Bureaucratic and State Capacities in Argentina and Brazil

Figures 2 and 3 demonstrate the non-monotonically increasing path of fiscal capacity, a frequently used measure of state capacity, in Argentina and Brazil in recent years. Fiscal capacity is measured by comparing the proportion of income tax collected versus overall tax revenue. The benefit of this measure of fiscal capacity is that it (ideally) reflects the ability of the state. This is because income tax requires greater skill and more work by a tax agency to collect than many other readily measurable revenue streams (Dincecco 2017). Tax data is drawn from the International Monetary Fund’s World Revenue Longitudinal Dataset (IMF 2018).

Figure 2: Argentine Fiscal Capacity

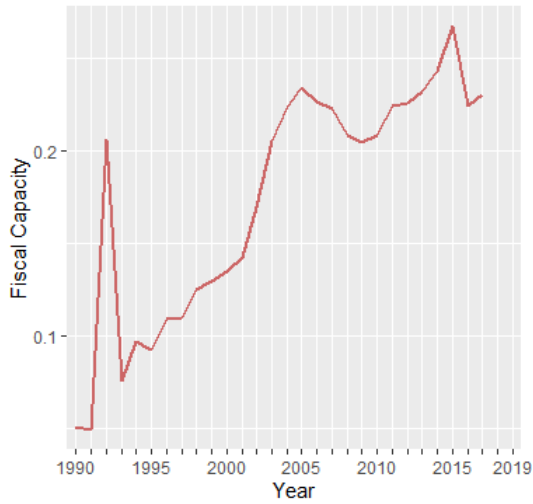
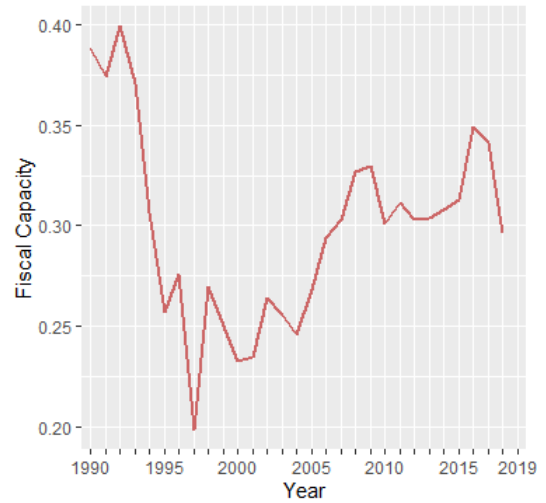


Figure 3: Brazilian Fiscal Capacity



Bureaucratic capacity is often more difficult to measure. Two measures drawn from the literature are the size of the public sector (Garfias 2018) and the expertise of bureaucrats (Huber and McCarty 2004). Figures 4 and 5 demonstrate the fluctuation of bureaucratic capacity as measured by the size of the public sector relative to overall formal employment in Argentina and Brazil. Figures 6 and 7 show similar trends for the proportion of public sector employees that hold tertiary education. In addition, note that the Brazilian measures of bureaucratic capacity suffer from significant missing data, which I leave missing in lieu of imputing values. Data is drawn from the World Bank Worldwide Bureaucracy Indicators dataset (Baig et al. 2021).

Figure 4: Argentine Bureaucratic Capacity
(size of the public sector)

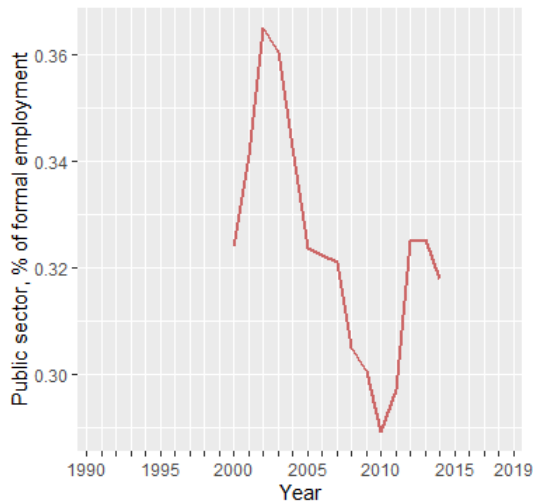


Figure 5: Brazilian Bureaucratic Capacity
(size of the public sector)

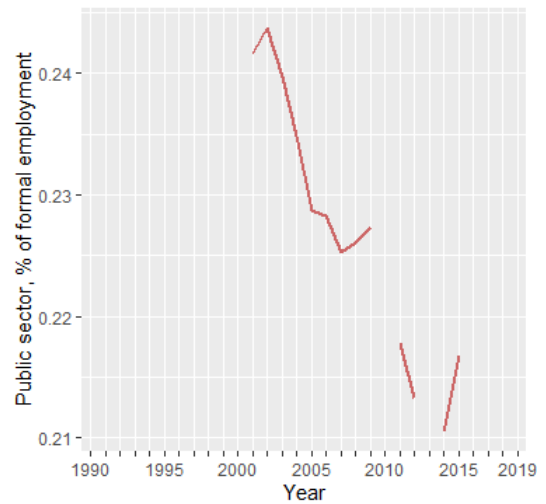


Figure 6: Argentine Bureaucratic Capacity
(expertise of the public sector)

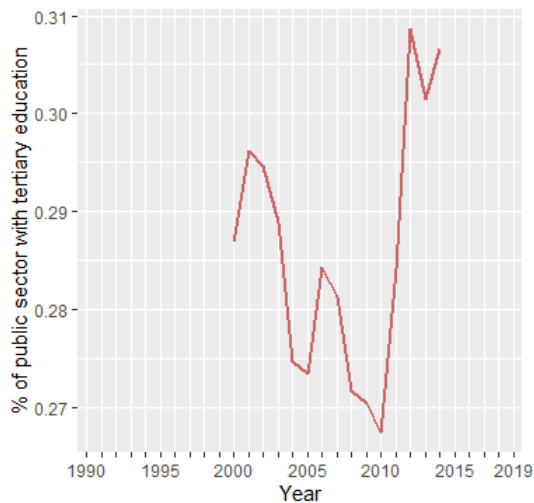
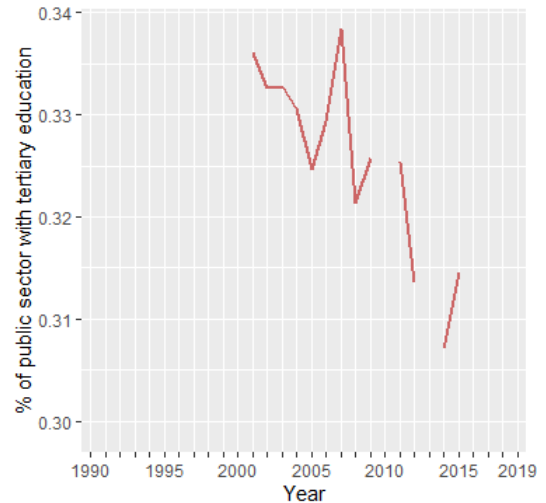


Figure 7: Brazilian Bureaucratic Capacity
(expertise of the public sector)



B Proofs

B.1 Proof of Lemma 1

Taking the expectation over a worker w 's utility and comparing enacting mission-driven policy on the LHS versus unaligned policy on the RHS yields:

$$\begin{aligned} Eu_w &= \theta_w \cdot Pr(M_{s(w)} = 1) + (\theta_w - h) \cdot (1 - Pr(M_{s(w)} = 1)) \geq 0 \\ &\Rightarrow \theta_w \geq (1 - Pr(M_{s(w)} = 1))h \end{aligned}$$

Notice that the unconditional likelihood that the supervisor proposes mission-driven policy is given by:

$$\begin{aligned} Pr(M_{s(w)} = 1) &= Pr(M_{s(w)} = 1 | T_{s(w)} = 1) \cdot Pr(T_{s(w)} = 1) \\ &\quad + Pr(M_{s(w)} = 1 | T_{s(w)} = 0) \cdot Pr(T_{s(w)} = 0) \\ &\Rightarrow Pr(M_{s(w)} = 1 | T_{s(w)} = 1) Pr(T_{s(w)} = 1) \end{aligned}$$

This holds because the unaligned supervisor always proposes unaligned policy. Moreover, note that the expected policy of a worker's matched supervisor is:

$$\begin{aligned} E(M_{s(w)}) &= Pr(T_{s(w)} = 1) \cdot (1 \cdot Pr(M_{s(w)} = 1 | T_{s(w)} = 1) + 0 \cdot Pr(M_{s(w)} = 0 | T_{s(w)} = 1)) \\ &\quad + Pr(T_{s(w)} = 0) \cdot (1 \cdot Pr(M_{s(w)} = 1 | T_{s(w)} = 0) + 0 \cdot Pr(M_{s(w)} = 0 | T_{s(w)} = 0)) \\ &= Pr(T_{s(w)} = 1) Pr(M_{s(w)} = 1 | T_{s(w)} = 1) \end{aligned}$$

The condition for the worker may be rewritten, yielding equation 5:

$$\theta_w \geq (1 - E(M_{s(w)}))h$$

Equation 5 is the unique best response of the workers as it leaves general the expected action of their matched supervisor. ■

B.2 Proof of Lemma 2

A supervisor $s(w)$ gains the culture payoff when

$$\sigma_w = Pr_w(T_{s(w)} = 1 | M_{s(w)}) = \frac{Pr_w(M_{s(w)} | T_{s(w)}=1) Pr_w(T_{s(w)}=1)}{Pr_w(M_{s(w)} | T_{s(w)}=1) Pr_w(T_{s(w)}=1) + Pr_w(M_{s(w)} | T_{s(w)}=0) Pr_w(T_{s(w)}=0)} > B$$

Note that the components of the denominator and numerator remain in the frame of reference of a supervisor's matched worker (w).

Mission-driven supervisors hold symmetrical utility functions and have symmetrical best responses, which will be proven later. For now, I focus on two symmetrical cases: 1) when all mission-driven types propose $M_{s(w)} = 1$ and 2) when all mission-driven types propose $M_{s(w)} = 0$. I refer to a representative mission-driven supervisor and their matched worker.

In the first case $M_{s(w)} = 1$, then the matched worker holds the beliefs

$$\sigma_w(M_{s(w)} = 1) = \frac{Pr_w(M_{s(w)}=1 | T_{s(w)}=1) Pr_w(T_{s(w)}=1)}{Pr_w(M_{s(w)}=1 | T_{s(w)}=1) Pr_w(T_{s(w)}=1) + Pr_w(M_{s(w)}=1 | T_{s(w)}=0) Pr_w(T_{s(w)}=0)} = \frac{1 \cdot B}{1 \cdot B + 0 \cdot (1-B)} = 1 > B$$

$$\text{and } \sigma_w(M_{s(w)} = 0) = \frac{Pr_w(M_{s(w)}=0 | T_{s(w)}=1) Pr_w(T_{s(w)}=1)}{Pr_w(M_{s(w)}=0 | T_{s(w)}=1) Pr_w(T_{s(w)}=1) + Pr_w(M_{s(w)}=0 | T_{s(w)}=0) Pr_w(T_{s(w)}=0)} = \frac{0 \cdot B}{0 \cdot B + 1 \cdot (1-B)} =$$

$0 < B$. Hence, a mission-driven supervisor receives the culture payoff when proposing mission-driven policy but not otherwise. A deviation by a single supervisor does not impact output as supervisors are atomless. However, their choice impacts their culture payoff and if they suffer the career penalty. Then, a mission-driven supervisor prefers to propose mission-driven policy when:

$$u_{s(w)}(M_{s(w)} = 1) = (1 - (1 - B)h) + B^2v - c > (1 - (1 - B)h) = u_{s(w)}(M_{s(w)} = 0)$$

$$\Rightarrow B^2v > c$$

In the second case, a worker holds the belief $\sigma_w(M_{s(w)} = 1) = \frac{0 \cdot B}{0 \cdot B + 0 \cdot (1-B)} \Rightarrow \sigma_w(M_{s(w)} = 1) \in [0, 1]$ and $\sigma_w(M_{s(w)} = 0) = \frac{1 \cdot B}{1 \cdot B + 1 \cdot (1-B)} = B \not> B$. Hence, a supervisor could receive the culture payoff given the off-path belief $\sigma_w(M_{s(w)} = 1) > B$. Suppose the worker held this belief. Then, a mission-driven supervisor prefers to propose mission-driven policy when:

$$\begin{aligned}
u_{s(w)}(M_{s(w)} = 1) &= (1 - h) + B^2v - c > (1 - h) = u_{s(w)}(M_{s(w)} = 0) \\
&\Rightarrow B^2v > c
\end{aligned}$$

Thus, when $B^2v > c$ and $\sigma_w(M_{s(w)} = 1) > B$, then mission-driven policy is focal but unaligned policy is the best response for $B^2v \leq c$ and $\sigma_w(M_{s(w)} = 1) > B$. In addition, suppose the worker held the belief $\sigma_w(M_{s(w)} = 1) \leq B$, then pooling on unaligned policy is incentive compatible because the supervisor does not receive the culture payoff:

$$\begin{aligned}
u_{s(w)}(M_{s(w)} = 1) &= (1 - h) - c \leq (1 - h) = u_{s(w)}(M_{s(w)} = 0) \\
&\Rightarrow 0 \leq c
\end{aligned}$$

Therefore, for any value of career penalty and the belief $\sigma_w(M_{s(w)} = 1) \leq B$, proposing unaligned policy is incentive compatible. However, given the focal action of proposing unaligned policy, the condition $B^2v > c$ does not hold according to the Intuitive Criterion (Cho and Kreps 1987). That is, the belief $\sigma_w(M_{s(w)} = 1) \leq B$ is eliminated when $B^2v > c$ because only mission-driven types would play mission-driven policy given $B^2v > c$. Yet, for the belief to hold that $\sigma_w(M_{s(w)} = 1) \leq B$, this is necessarily not the case. Formally, this outcome fails the Intuitive Criterion because, given $B^2v > c$:

$$\begin{aligned}
u_{s(w)}(M_{s(w)} = 0; \sigma_w(M_{s(w)} = 0) \leq B) &= \\
(1 - h) &< (1 - h) + B^2v - c \\
&= u_{s(w)}(M_{s(w)} = 1; \sigma_w(M_{s(w)} = 1) > B)
\end{aligned}$$

Finally, to prove there are no asymmetrical best responses, conjecture that a proportion $x \in (0, B)$ of mission-driven types play $M_{s(w)} = 1$ and the remaining $1 - x$ play unaligned policy. This yields the beliefs $Pr_w(T_{s(w)} = 1 | M_{s(w)} = 1) = \frac{x B}{x B + 0(1 - B)} = 1$ and $Pr_w(T_{s(w)} = 1 | M_{s(w)} = 0) = \frac{(1 - x) B}{(1 - x) B + 1(1 - B)}$. In the latter case, to receive the culture payoff, it must be the case that $\frac{(1 - x) B}{(1 - x) B + 1(1 - B)} > B$. Yet, this requires $B > 1$, which is never feasible. Hence, only the types proposing mission-driven policy receive the culture payoff. Then, as shown above, when $B^2v > c$, all types $1 - x$ proposing unaligned policy would find it profitable to deviate to mission-driven policy. Conversely, when $B^2v \leq c$, all types x proposing mission-driven policy would find it profitable to

deviate to unaligned policy. ■

B.3 Proof of Lemma 3

The leader will only be willing to enact the career penalty when the returns to shifting output outweigh the disruption penalty. Lemma 2 establishes that, if punished for proposing mission-driven policy, mission-driven supervisors pool on unaligned policy when $B^2v \leq c$ and mission-driven policy when $B^2v > c$. As the cost of punishment (cP) is increasing in c , the unaligned type either sets punishment to $c = B^2v$ or $c = 0$. Let Q^M denote when mission-driven proposals are focal and Q^U when unaligned policy is the focal action among mission-driven supervisors. Then, an unaligned leader will enact punishment when:

$$\begin{aligned} u_L(c = B^2v, Q^U) &= -Q^U - c \cdot P \geq -Q^M - c \cdot P = u_L(c = 0, Q^M) \\ \Rightarrow -(1-h) - B^2vP &\geq -(1 - (1-B)h) \\ \Rightarrow P &\leq \frac{h}{vB} \end{aligned}$$

■

B.4 Proof of Lemma 4

The mission-driven supervisors' exit decisions depend on the second-period outcome as their exit decisions are determined by comparing the outside option to the expected utility of remaining at the organization.

There is some learning by the second-period. Because a given supervisor's and their matched worker's first-period actions are only observed within their matched pairing and by the leader, workers and supervisors in the second-period generally cannot connect first-period actions to specific actors. Hence, in most cases, they do not know one another's type (despite observing first-period output). Moreover, workers and supervisors are matched again in the second-period, which could align with an organizational restructuring or the reshuffling of workers across projects following a change of administrations. Moreover, because their types are continuous, there is zero likelihood a worker and supervisor are matched again in the second-period. Hence, the types of

supervisors are generally not known besides one scenario. To show this, consider the four possible second-period information sets regarding supervisors' types:

1. The mission-driven supervisors played unaligned policy and there is no exit by mission-driven supervisors: $Pr_w(T_{s(w),2} = 1|Q_1^U) = \frac{1 \cdot B_1}{1 \cdot B_1 + 1 \cdot (1-B_1)} = B_1$ and $Pr_w(T_{s(w),2} = 0|Q_1^U) = \frac{1 \cdot (1-B_1)}{1 \cdot (1-B_1) + 1 \cdot B_1} = 1 - B_1$.
2. Suppose mission-driven supervisors played unaligned policy and exit. If a worker is matched with a new supervisor, they have no prior information. If a worker is matched with an incumbent supervisor, they know $Pr_w(T_{s(w),2} = 0|E) = \frac{1 \cdot (1-B_1)}{1 \cdot (1-B_1) + 0 \cdot B_1} = 1$ and $Pr_w(T_{s(w),2} = 1|E) = \frac{0 \cdot B_1}{0 \cdot B_1 + 1 \cdot (1-B_1)} = 0$.
3. If mission-driven supervisors propose mission-driven policy and remain at the organization, then second-period workers do not know their second-period supervisor's first-period action and, moreover, gain no information from first-period output: $Pr_w(T_{s(w),2} = 1|Q_1^M) = \frac{1 \cdot B_1}{1 \cdot B_1 + 1 \cdot (1-B_1)} = B_1$ and $Pr_w(T_{s(w),2} = 2|Q_1^M) = \frac{1 \cdot (1-B_1)}{1 \cdot (1-B_1) + 1 \cdot B_1} = 1 - B_1$.
4. Suppose mission-driven supervisors played mission-driven policy and exit. If a worker is matched with a new supervisor, they have no prior information. If a worker is matched with an incumbent supervisor, they know $Pr_w(T_{s(w),2} = 0|E) = \frac{1 \cdot (1-B_1)}{1 \cdot (1-B_1) + 0 \cdot B_1} = 1$ and $Pr_w(T_{s(w),2} = 1|E) = \frac{0 \cdot B_1}{0 \cdot B_1 + 1 \cdot (1-B_1)} = 0$.

Hence, there are two salient information sets to consider. First, when the workers have no additional information and occurs when there is no exit. Second, the workers hold no additional information when matched with a new supervisor but know for certain an incumbent is an unaligned type, which occurs following supervisor exit. In addition, because the leader observes all supervisors' actions (in order to punish mission-driven policy), they hold more information.¹ How-

1. In particular, the leader has three possible second-period information sets regarding supervisor types:

1. The mission-driven supervisors played unaligned policy. This reveals no information about the types of mission-driven or unaligned types, regardless of exit decision ($Pr(T_{s(w),1} = 1|M_{s(w),1} = 0) = \frac{1 \cdot B_1}{1 \cdot B_1 + 1 \cdot (1-B_1)} = B_1$).
2. If mission-driven supervisors propose mission-driven policy and remain, their types are exactly known: $Pr(T_{s(w),1} = 1|M_{s(w),1} = 0) = \frac{0 \cdot B_1}{0 \cdot B_1 + 1 \cdot (1-B_1)} = 0$ and $Pr(T_{s(w),1} = 1|M_{s(w),1} = 1) = \frac{1 \cdot B_1}{1 \cdot B_1 + 0 \cdot (1-B_1)} = 1$.
3. If mission-driven supervisors propose mission-driven policy and leave, incumbent unaligned supervisors types are known but newly drawn types are not.

ever, because the career penalty is attached to an action rather than targeting specific supervisors, this information does impact the choices made by the leader.

Also, note that exit decisions are symmetrical because supervisors hold identical utility functions and, moreover, individual deviations cannot impact payoffs as supervisors are atomless. Therefore, either all or none of the mission-driven supervisors leave the organization, $E \in \{0, B_1\}$. As a result, second-period mission capacity can only take two values: $B_2 \in \{B_1 B_r, B_1\}$. When all mission-driven types leave ($E = B_1$): $B_2 = B_1 - E + E \cdot B_r = B_1 B_r$. When all mission-driven types remain ($E = 0$): $B_2 = B_1$. Note that $B_1 B_r < B_1$ as $B_r \leq B_1 < 1$.

Beginning with the workers, their second-period strategy is comprised of two actions for when supervisors remain at the organization and four actions should the supervisors exit (one action for each leader type and if the worker is matched with a new or incumbent supervisor). Note that the workers cannot directly affect the exit decision of supervisors because that decision is prior and, hence, exogenous to their policy choice.

Case 1. Their best response remains the same regardless of leader type. Parallel calculations to Lemma 1 yield the same best response: enact mission-driven policy given $\theta_w \geq (1 - E(M_{s(w),2,T_L}))h$ and unaligned policy otherwise. Note if mission-driven types leave, the best response remains the same but, if the mission-driven types take the focal action of mission-driven policy in the second-period, then the condition becomes: $\theta_w \geq (1 - B_1 B_r)h$ rather than $\theta_w \geq (1 - B_1)h$. Overall, second-period output is given by: $Q_2 = 1 - (1 - E(M_{s(w),2,T_L}))h$.

Case 2. Should they be matched with a new supervisor, they have the same best response as Lemma 1. However, should they be matched with an incumbent, they hold the best response:

$$BR_{w,2}(\theta_w, T_{s(w),2} = 0) = \begin{cases} M_{w,2,T_L} = 0 & \text{if } \theta_w < h \\ M_{w,2,T_L} = 1 & \text{if } \theta_w \geq h \end{cases} \quad (1)$$

Despite the informational shift, the second-period output remains unchanged from when workers hold no information beyond their prior beliefs over the types of the supervisors:

$$\begin{aligned}
Q_2 &= (1 - B_1) \cdot (1 - h) + B_1 \left(1 - \begin{cases} 0 & \text{if } M_{s(w),2,T_L} = 0 \\ B_r & \text{if } M_{s(w),2,T_L} = 1 \end{cases} h \right) \\
&\Rightarrow Q_2^M = 1 - (1 - B_1 B_r) h \\
&\Rightarrow Q_2^U = 1 - h
\end{aligned}$$

Turning to the supervisors' policy choice, the arguments parallels Lemma 2. This is because either workers do not know the type of the matched supervisor or, for the types they do know, they are unaligned supervisors who are non-strategic. Once more, either: 1) all mission-driven types propose $M_{s(w),2,T_L} = 1$ or 2) all mission-driven types propose $M_{s(w),2,T_L} = 0$.

Because workers still retain their prior beliefs regarding the types of other supervisors, the result aligns with Lemma 2. Given $M_{s(w),2,T_L} = 1$, supervisors hold the belief $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2,T_L} = 1) = \frac{1 \cdot B_2}{1 \cdot B_2 + 0 \cdot (1 - B_2)} = 1$ where $1 > B_2$ for $\forall B_2$. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned}
u_{s(w)}(M_{s(w),2,T_L} = 1) &= (1 - (1 - B_2)h) + B_2^2 v - c > (1 - (1 - B_2)h) = u_{s(w)}(M_{s(w),2,T_L} = 0) \\
&\Rightarrow B_2^2 v > c
\end{aligned}$$

For $M_{s(w),2,T_L} = 0$, then $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2,T_L} = 0) = \frac{0 \cdot B_2}{0 \cdot B_2 + 1 \cdot (1 - B_2)} \Rightarrow \sigma_{w,2} \in [0, 1]$. Then, by parallel arguments from Lemma 2 and utilizing the Intuitive Criterion restriction, mission-driven supervisors prefer to propose mission-driven policy when (given the belief $\sigma_{w,2} > B$):

$$\begin{aligned}
u_{s(w)}(M_{s(w),2,T_L} = 1) &= (1 - (1 - B_2)h) + B_2^2 v - c_1 > (1 - (1 - B_2)h) = u_{s(w)}(M_{s(w),2,T_L} = 0) \\
&\Rightarrow B_2^2 v > c
\end{aligned}$$

Turning to the leader, now either a mission-driven or unaligned leader is in power. Considering a unaligned leader, their optimal strategy runs parallel to Lemma 3. As the cost of punishment ($c_2 \cdot P_2$) is increasing in c_2 , the unaligned type either sets punishment to $c_2 = B_2^2 v$ or $c_2 = 0$. Then, an unaligned leader will enact punishment when:

$$\begin{aligned}
u_L(c_2 = B_2^2 v, Q_2^U) &= -Q_2^U - c_2 \cdot P_2 \geq -Q_2^M - c_2 \cdot P_2 = u_L(c_2 = 0, Q_2^M) \\
\Rightarrow -(1-h) - B_2^2 v P_2 &\geq -(1 - (1 - B_2)h) \\
\Rightarrow P_2 &\leq \frac{h}{v B_2}
\end{aligned}$$

In addition, the leader cannot force mission-driven supervisors to exit because they will only punish in the second-period when it is incentive compatible. Hence, insomuch that the leader may affect the exit decision of supervisors, they can only do so if punishing is credible in the second-period. Furthermore, information about the type of supervisors is not useful because all the parameters that shape their decision are common knowledge.

Next, should a mission-driven leader come to power in the second-period, they would not enact any levels of punishment:

$$\begin{aligned}
u_L(c_2 = B_2^2 v, Q_2^U) &= Q_2^U - c_2 \cdot P_2 \geq -Q_2^M - c_2 \cdot P_2 = u_L(c = 0, Q_2^M) \\
\Rightarrow (1-h) - B_2^2 v P_2 &\geq (1 - (1 - B)h) \\
\Rightarrow -B_2 v P_2 &\geq h
\end{aligned}$$

This can never hold because all parameters are positive. Hence, the mission-driven type would never punish.

Finally, consider the exit decision of mission-driven supervisors, I initially take B_2 as fixed. This yields four symmetrical outcomes in regards to the exit decision of mission-driven supervisors, which depends on if they will be punished in the second-period versus the value of the outside option.

When $P_2 > \frac{h}{v B_2}$, then the unaligned leader will not punish in the second-period and the mission-driven leader never punishes ($c_{2,T_L=0} = 0, c_{2,T_L=1} = 0$). Hence, the mission-driven supervisor prefers to remain at the organization when:

$$\begin{aligned}
& Eu_s(e_s = \text{stay}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 1) \\
& \geq Eu_s(e_s = \text{leave}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 1) \\
& \Rightarrow \tau(1 - (1 - B_2)h + B_2^2v) + (1 - \tau)(1 - (1 - B_2)h + B_2^2v) \\
& \geq \phi \\
& \Rightarrow 1 - (1 - B_2)h + B_2^2v \geq \phi
\end{aligned}$$

When the outside option ϕ exceeds the return to remaining, mission-driven types leave the organization. Otherwise, they remain. When $P_2 \leq \frac{h}{vB_2}$, then the unaligned leader will punish in the second-period but the mission-driven leader never does ($c_{2,T_L=0} = B^2v, c_{2,T_L=1} = 0$). Hence, the mission-driven supervisor prefers to remain when:

$$\begin{aligned}
& Eu_s(e_s = \text{stay}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 0) \\
& \geq Eu_s(e_s = \text{leave}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 0) \\
& \Rightarrow \tau(1 - (1 - B_2)h + B_2^2v) + (1 - \tau)(1 - h) \\
& \geq \phi \\
& \Rightarrow \tau B_2(h + B_2v) + (1 - h) \geq \phi
\end{aligned}$$

When the outside option ϕ exceeds the LHS, mission-driven types leave and remain otherwise.

Returning to B_2 , recall that $B_2 \in \{B_1B_r, B_1\}$ and $B_1B_r < B_1$ as $B_r \leq B_1 < 1$. Then, it must be that if $P_2 > \frac{h}{vB_1B_r}$, then $P_2 > \frac{h}{vB_1}$. Similarly, $P_2 \leq \frac{h}{vB_1} \Rightarrow P_2 \leq \frac{h}{vB_1B_r}$. This yields three regions for disruption penalty: 1) $P_2 \leq \frac{h}{vB_1}$ 2) $\frac{h}{vB_1} \leq P_2 < \frac{h}{vB_1B_r}$ 3) $\frac{h}{vB_1B_r} < P_2$.

First, consider $P_2 \leq \frac{h}{vB_1}$. Then, regardless if mission-driven supervisors remain or leave the organization, the unaligned leader will impose the career penalty. Hence, the unique best response is to remain should $\phi \leq \tau B_1B_r(h + B_1B_rv) + (1 - h)$, where the RHS is the value of remaining should mission-driven types leave. For $\tau B_1B_r(h + B_1B_rv) + (1 - h) < \phi < \tau B_1(h + B_1v) + (1 - h)$, the best response is to leave if all mission-driven types leave but remain if they stay. Here, the third term captures the payoff to all mission-driven types remaining but proposing unaligned policy

under an unaligned leader. Finally, for $\tau B_1(h + B_1 v) + (1 - h) < \phi$, the unique best response is to leave the organization regardless of the actions of other supervisors.

Second, consider $\frac{h}{vB_1} \leq P_2 < \frac{h}{vB_1 B_r}$. If all mission-driven supervisors remain, then punishment is not incentive compatible for the unaligned leader. However, if they leave, then punishment is credible. Hence, the unique best response is to remain should $\phi \leq \tau B_1 B_r(h + B_1 B_r v) + (1 - h)$, where the RHS is the value of remaining should mission-driven types leave and given mission-driven types propose unaligned policy under an unaligned leader. For $\tau B_1 B_r(h + B_1 B_r v) + (1 - h) < \phi \leq 1 - (1 - B_1)h + B_1^2 v$, the best response is to leave if all mission-driven types leave but remain if they stay. Note that if the supervisors remain, they enact mission-driven policy because the career penalty is not credible. Moreover, note that $\tau B_1 B_r(h + B_1 B_r v) + (1 - h) < 1 - (1 - B_1)h + B_1^2 v$ for all $\tau \in (0, 1)$. Finally, for $1 - (1 - B_1)h + B_1^2 v < \phi$, the unique best response is to always leave.

Lastly, if $\frac{h}{vB_1 B_r} < P_2$, then punishment is not credible even if all mission-driven types leave. Hence, the unique best response is to remain should $\phi \leq 1 - (1 - B_1 B_r)h + (B_1 B_r)^2 v$, where the RHS is the value of remaining should mission-driven types leave and given mission-driven types propose mission-driven policy under an unaligned leader. For $1 - (1 - B_1 B_r)h + (B_1 B_r)^2 v < \phi \leq 1 - (1 - B_1)h + B_1^2 v$, the best response is to leave if all mission-driven types leave but remain if they stay. Finally, for $1 - (1 - B_1)h + B_1^2 v < \phi$, the unique best response is to always leave.

In addition, note that for intermediate values of the outside option ϕ , the best responses align with a coordination problem where there are two equilibria outcome, depending on if leaving or staying is the focal action. I focus on the payoff-dominant, which occurs when the supervisors coordinate to remain at the organization. ■

The table below summarizes the best responses with regards to the exit decision of supervisors:

Table 1: Mission-Driven Supervisor's Exit Best Response

Disruption Penalty	Outside Option	Exit Decision
$P_2 \leq \frac{h}{vB_1}$	$\phi \leq \tau B_1(h + B_1 v) + (1 - h)$	All stay
	$\tau B_1(h + B_1 v) + (1 - h) < \phi$	All leave
$\frac{h}{vB_1} \leq P_2 < \frac{h}{vB_1 B_r}$	$\phi \leq 1 - (1 - B_1)h + B_1^2 v$	All stay
	$1 - (1 - B_1)h + B_1^2 v < \phi$	All leave
$\frac{h}{vB_1 B_r} < P_2$	$\phi \leq 1 - (1 - B_1)h + B_1^2 v$	All stay
	$1 - (1 - B_1)h + B_1^2 v < \phi$	All leave

B.5 Proof and Statement of Proposition 1

To formally restate Proposition 1, there are three types of equilibrium outcomes:

1. **Erosion.** Mission-driven supervisors leave the organization after the first-period if:

(a) $P_2 \leq \frac{h}{vB_1}$ and $\tau B_1(h + B_1 v) + (1 - h) < \phi$.

(b) Or, $\frac{h}{vB_1} < P_2$ and $1 - (1 - B_1)h + B_1^2 v < \phi$.

2. **Temporary Reversal.** Mission-driven supervisors remain at the organization but propose unaligned policy. They remain at the organization if $P_2 \leq \frac{h}{vB_1}$ and $\phi \leq \tau B_1(h + B_1 v) + (1 - h)$; or, $\frac{h}{vB_1} < P_2$ and $\phi \leq 1 - (1 - B_1)h + B_1^2 v$. Then policy choices are unaligned if:

(a) First-period unaligned policy: $P_1 \leq \frac{h}{vB_1}$.

(b) Second-period unaligned policy: $P_2 \leq \frac{h}{vB_1}$.

3. **Resistance.** Mission-driven supervisors remain at the organization and enact mission-driven policy in every period. Mission-driven policy is always enacted when $P_1 > \frac{h}{vB_1}$ and $P_2 > \frac{h}{vB_1}$, and remain at the organization given $\phi \leq 1 - (1 - B_1)h + B_1^2 v$.

Proof:

Lemma 4 solves the second-period of the two-period model as well as the exit decision of mission-driven supervisors. To complete the proof for the equilibrium, I outline the optimal strategies in the first-period, which run parallel to Lemmas 1-3.

Beginning with the workers, their first-period strategy is comprised of one action. In the first-period, there can be no learning because the workers and supervisors move simultaneously and

there are no prior actions. Moreover, the workers cannot impact the exit decision of supervisors because the supervisors are forward-looking. Parallel calculations to Lemma 1 yields: enact mission-driven policy given $\theta_w \geq (1 - E(M_{s(w),1}))h$ and unaligned otherwise.

Turning to the supervisors' policy choice, the arguments run parallel to Lemma 2. Either: 1) all mission-driven types propose $M_{s(w),1} = 1$ or 2) all mission-driven types propose $M_{s(w),1} = 0$.

Given $M_{s(w),1} = 1$, workers hold the belief $Pr_{w,1}(T_{s(w),1} = 1 | M_{s(w),1} = 1) = \frac{1 \cdot B_1}{1 \cdot B_1 + 0 \cdot (1 - B_1)} = 1$ where $1 > B_1$ for $\forall B_1$. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned} u_{s(w)}(M_{s(w),1} = 1) &= (1 - (1 - B_1)h) + B_1^2 v - c > (1 - (1 - B_1)h) = u_{s(w)}(M_{s(w),1} = 0) \\ &\Rightarrow B_1^2 v > c \end{aligned}$$

For $M_{s(w),1} = 0$, then $Pr_{w,1}(T_{s(w),2} = 1 | M_{s(w),1} = 0) = \frac{0 \cdot B_1}{0 \cdot B_1 + 0 \cdot (1 - B_1)} \Rightarrow \sigma_{w,1} \in [0, 1]$. Then, by parallel arguments from Lemma 2 and utilizing the Intuitive Criterion restriction, mission-driven supervisors prefer to propose mission-driven policy when (given the belief $\sigma_{w,1} > B$):

$$\begin{aligned} u_{s(w)}(M_{s(w),1} = 1) &= (1 - (1 - B_1)h) + B_1^2 v - c_1 > (1 - (1 - B_1)h) = u_{s(w)}(M_{s(w),1} = 0) \\ &\Rightarrow B_1^2 v > c \end{aligned}$$

Next, turning to the leader, their optimal strategy runs parallel to Lemma 3. As the cost of penalty ($c_1 \cdot P_1$) is increasing in c_1 , the leader sets $c_1 = B_1^2 v$ or $c_1 = 0$. Then, an unaligned leader will enact punishment when:

$$\begin{aligned} u_A(c_1 = B_1^2 v, Q_1^U) &= -Q_1^U - c_1 \cdot P_1 \geq -Q_1^M - c_1 \cdot P_1 = u_A(c_1 = 0, Q_1^M) \\ &\Rightarrow -(1 - h) - B_1^2 v P_1 \geq -(1 - (1 - B_1)h) \\ &\Rightarrow P_1 \leq \frac{h}{v B_1} \end{aligned}$$

In addition, note that while the leader in the first-period cannot alter second-period output, they can shift the information environment by making the mission-driven types play unaligned policy in the first-period. As shown above, if mission-driven supervisors exit, then workers know any

incumbent supervisors are unaligned. However, it is shown above that this information does not alter second-period output, i.e., the second-period remains the same regardless of the first-period leader choice. Hence, this does not impact the first-period calculus of the leader.

■

C Additional Baseline Analysis and Discussion

C.1 Mission-driven Supervisors' Exit

Figure 8 illustrates the trade-off between the outside option and second-period disruption penalty. At any level of penalty below the dashed line on the left, the leader is willing to disrupt even if all mission-driven supervisors remain (thereby, keeping culture strong). The dashed line on the right is the point where the leader is willing to disrupt should mission-driven supervisors exit after the first-period (weakening culture). The exit threshold remains constant for all levels of disruption penalty above $\frac{h}{vB_1}$. This is because there is a complementarity among mission-driven supervisors remaining at the organization: maintaining capacity keeps the culture payoff high. Moreover, the threshold on the left incentivizing mission-driven supervisors to remain is met before the second threshold ($\frac{h}{vB_1} < \frac{h}{vB_1B_r}$). Thus, above the threshold $\frac{h}{vB_1}$, all mission-driven types will remain (assuming the outside option does not surpass the maximum payoff of remaining).

The likelihood that the leader turns over to a mission-driven type also shapes the exit decisions of mission-driven supervisors. Figure 9 demonstrates that, as the probability that the leader is replaced increases, mission-driven supervisors are willing to stay for higher values of the outside option (given the second-period unaligned leader imposes a career penalty). Furthermore, as detailed in the appendix, while the likelihood of turnover does not directly shift the first-period disruption decisions of the leader, by potentially disincentivizing supervisor exit, a high probability of leader turnover can retain a strong culture that causes the second-period leader to forgo disruption even if they remain unaligned, i.e., turnover does not occur.

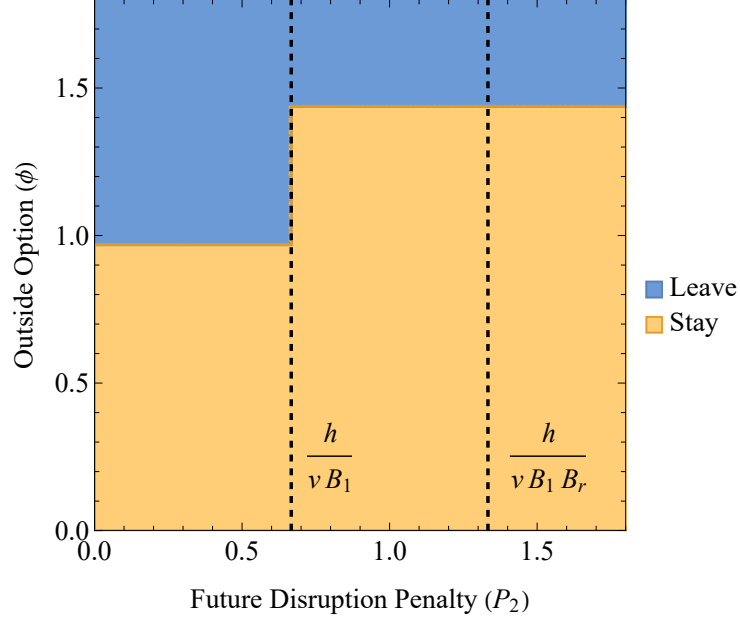


Figure 8: Second-period disruption penalty versus the outside option (*specification: $h = \frac{1}{2}, \tau = \frac{1}{2}, v = 1, B_1 = \frac{3}{4}, B_r = \frac{1}{2}$*).

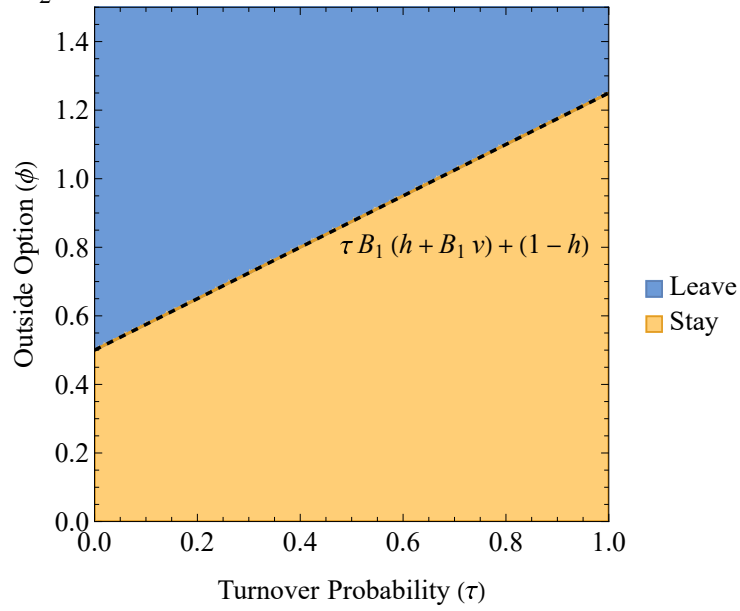


Figure 9: Likelihood of turnover to a mission-driven leader versus the outside option (*specification: $P_2 = \frac{1}{4}, h = 0.5, \tau = \frac{1}{2}, v = \frac{1}{2}, B_1 = \frac{1}{2}$*).

D Model Extensions

D.1 Sequential Policy-Making in the Single-Period Model

I now augment the single-period model to make the policy-making process sequential. Supervisors move first but workers receive an imperfect signal of their action $\rho_{s(w)} \in \{0, 1\}$ such that they receive the correct signal with likelihood $f(\rho_{s(w)} | M_{s(w)}) = 1 - \varepsilon$ where $\varepsilon \in (0, \frac{1}{2})$, which is common knowledge. Therefore, a signal is more precise as ε approaches zero and uninformative as it approaches $\frac{1}{2}$. There are no off-equilibrium path information sets as all signals occur with positive probability. An imperfect signal underscores the difficulty of communicating policy expectations, particularly given the complications of shifting worker-supervisor matches. Hence, now the action of workers is given by $M_w[\rho_{s(w)}] \in \{0, 1\}$.

I demonstrate that, regardless of a precise or uninformative signal, the output result aligns with Lemma 1.

Corollary 1. *For any feasible signal in the sequential move model, output aligns with the outcome of the simultaneous move model.*

First, I consider the workers' beliefs regarding the realized action of the supervisors. Then, I consider how these signals translate to their beliefs over the supervisor's type, which has consequences for the culture payoff.

I conjecture that 1) all mission-driven types propose $M_{s(w)} = 1$ or 2) all mission-driven types propose $M_{s(w)} = 0$. Consider the first case. This leads to four beliefs:

1.

$$\begin{aligned}
 & Pr(M_{s(w)} = 1 | \rho_{s(w)} = 1) \\
 &= \frac{Pr(\rho_{s(w)} = 1 | M_{s(w)} = 1) \cdot Pr(M_{s(w)} = 1)}{Pr(\rho_{s(w)} = 1 | M_{s(w)} = 1) \cdot Pr(M_{s(w)} = 1) + Pr(\rho_{s(w)} = 1 | M_{s(w)} = 0) \cdot Pr(M_{s(w)} = 0)} \\
 &= \frac{(1 - \varepsilon)B}{(1 - \varepsilon)B + \varepsilon(1 - B)} \\
 &= \frac{(1 - \varepsilon)B}{B + \varepsilon(1 - 2B)}
 \end{aligned}$$

2.

$$Pr(M_{s(w)} = 0 | \rho_{s(w)} = 1) = 1 - \frac{(1 - \varepsilon)B}{B + \varepsilon(1 - 2B)}$$

3.

$$\begin{aligned} & Pr(M_{s(w)} = 0 | \rho_{s(w)} = 0) \\ &= \frac{Pr(\rho_{s(w)} = 0 | M_{s(w)} = 0) \cdot Pr(M_{s(w)} = 0)}{Pr(\rho_{s(w)} = 0 | M_{s(w)} = 0) \cdot Pr(M_{s(w)} = 0) + Pr(\rho_{s(w)} = 0 | M_{s(w)} = 1) \cdot Pr(M_{s(w)} = 1)} \\ &= \frac{(1 - \varepsilon)(1 - B)}{(1 - \varepsilon)(1 - B) + \varepsilon B} \\ &= \frac{1 - B + \varepsilon(B - 1)}{1 - B + \varepsilon(2B - 1)} \end{aligned}$$

4.

$$Pr(M_{s(w)} = 1 | \rho_{s(w)} = 0) = 1 - \frac{1 - B + \varepsilon(B - 1)}{1 - B + \varepsilon(2B - 1)}$$

To determine the workers' best response, first consider when they receive a signal of mission-driven policy being proposed by their matched supervisor ($\rho_{s(w)} = 1$) and are willing to enact mission-driven policy:

$$\begin{aligned} u_w(M_w[\rho_{s(w)} = 1] = 1) &= \frac{(1 - \varepsilon)B}{B + \varepsilon(1 - 2B)}\theta_w + (1 - \frac{(1 - \varepsilon)B}{B + \varepsilon(1 - 2B)})(\theta_w - h) \\ &\geq 0 = u_w(M_w[\rho = 1] = 0) \\ &\Rightarrow \theta_w \geq h(1 - \frac{(1 - \varepsilon)B}{B + \varepsilon(1 - 2B)}) \end{aligned}$$

As $\varepsilon \rightarrow 0$, this converges to a best response where all worker types enact mission-driven policy ($\theta_w \geq 0$). Conversely, as $\varepsilon \rightarrow \frac{1}{2}$, this converges to the best response given by the baseline model ($\theta_w \geq h(1 - B)$).

Next, consider when the workers receive a signal of unaligned policy being proposed by their matched supervisor ($\rho_{s(w)} = 0$) and are willing to enact mission-driven policy:

$$\begin{aligned}
u_w(M_w[\rho = 0] = 1) &= \left(1 - \frac{1 - B + \varepsilon(B - 1)}{1 - B + \varepsilon(2B - 1)}\right) \theta_w + \left(\frac{1 - B + \varepsilon(B - 1)}{1 - B + \varepsilon(2B - 1)}\right) (\theta_w - h) \\
&\geq 0 = u_w(M_w[\rho_{s(w)} = 0] = 0) \\
&\Rightarrow \theta_w \geq h \left(\frac{1 - B + \varepsilon(B - 1)}{1 - B + \varepsilon(2B - 1)}\right)
\end{aligned}$$

As $\varepsilon \rightarrow 0$, this converges to the best response where only high-type workers enact mission-driven policy ($\theta_w \geq h$) and unaligned policy otherwise. Conversely, as $\varepsilon \rightarrow \frac{1}{2}$, this converges to the best response given by the baseline model ($\theta_w \geq h(1 - B)$). Aggregating the policy choices yields the same result as Lemma 1:

$$\begin{aligned}
Q &= Pr(\rho_{s(w)} = 1) \cdot (Pr(M_w[\rho_{s(w)} = 1] = 1) + Pr(M_w[\rho_{s(w)} = 1] = 0)) \\
&\quad + Pr(\rho_{s(w)} = 0) \cdot (Pr(M_w[\rho_{s(w)} = 0] = 1) + Pr(M_w[\rho_{s(w)} = 0] = 0)) \\
&= ((1 - \varepsilon)B + \varepsilon(1 - B)) \cdot (1 - h \left(1 - \frac{(1 - \varepsilon)B}{B + \varepsilon(1 - 2B)}\right) + 0) \\
&\quad + (\varepsilon B + (1 - \varepsilon)(1 - B)) \cdot (1 - h \left(\frac{1 - B + \varepsilon(B - 1)}{1 - B + \varepsilon(2B - 1)}\right) + 0) \\
&\Rightarrow Q^M = 1 - (1 - B)h
\end{aligned}$$

Next, consider the second case of worker beliefs where mission-driven supervisors take the focal action of unaligned policy:

1.

$$\begin{aligned}
Pr(M_{s(w)} = 1 | \rho_{s(w)} = 1) &= \frac{(1 - \varepsilon)0}{(1 - \varepsilon)0 + \varepsilon(1 - B)} \\
&= 0
\end{aligned}$$

2.

$$Pr(M_{s(w)} = 0 | \rho_{s(w)} = 1) = 1$$

3.

$$\begin{aligned}
Pr(M_{s(w)} = 0 | \rho_{s(w)} = 0) &= \frac{(1 - \varepsilon)1}{(1 - \varepsilon)1 + \varepsilon 0} \\
&= 1
\end{aligned}$$

4.

$$Pr(M_{s(w)} = 1 | \rho_{s(w)} = 0) = 0$$

Hence, the workers face no uncertainty regarding their supervisors' policy proposals:

$$\begin{aligned} u_w(M_w[\rho_{s(w)} = 1] = 1) &= 0 \cdot \theta_w + 1 \cdot (\theta_w - h) \\ &\geq 0 = u_w(M_w(\rho_{s(w)} = 1) = 0) \\ &\Rightarrow \theta_w \geq h \end{aligned}$$

$$\begin{aligned} u_w(M_w[\rho_{s(w)} = 0] = 1) &= 0 \cdot \theta_w + 1 \cdot (\theta_w - h) \\ &\geq 0 = u_w(M_w(\rho_{s(w)} = 0) = 0) \\ &\Rightarrow \theta_w \geq h \end{aligned}$$

Aggregating the policy choices yields the same result as Lemma 1:

$$Q^U = 1 - h$$

Turning to the supervisors, note that, because a worker pays out the culture payoff after the policy-making process, at this stage they have observed the realized action taken by their supervisor. Hence, the results align with Lemma 2. That is, either: 1) all mission-driven types propose $M_{s(w)} = 1$ or 2) all mission-driven types propose $M_{s(w)} = 0$. Given $M_{s(w)} = 1$, a worker holds the belief $Pr_w(T_{s(w)} = 1 | M_{s(w)} = 1) = \frac{1 \cdot B}{1 \cdot B + 0 \cdot (1 - B)} = 1$ where $1 > B$ for $\forall B$. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned} u_{s(w)}(M_{s(w)} = 1) &= (1 - (1 - B)h) + B^2v - c > (1 - (1 - B)h) = u_{s(w)}(M_{s(w)} = 0) \\ &\Rightarrow B^2v > c \end{aligned}$$

For $M_{s(w)} = 0$, then $Pr_w(T_{s(w)} = 1 | M_{s(w)} = 0) = \frac{0 \cdot B}{0 \cdot B + 1 \cdot (1 - B)} \Rightarrow \sigma_w \in [0, 1]$. Then, by parallel arguments from Lemma 2, mission-driven supervisors prefer to propose mission-driven policy when (given the belief $\sigma_w > B$):

$$\begin{aligned}
u_{s(w)}(M_{s(w)} = 1) &= (1 - (1 - B)h) + B^2v - c_1 > (1 - (1 - B)h) = u_{s(w)}(M_{s(w),t=1} = 0) \\
&\Rightarrow B^2v > c
\end{aligned}$$

Finally, consider the leader. Because the level of career penalty required to shift output from mission-driven Q^M to unaligned Q^U remains unchanged, they retain the same best response as outlined in Lemma 3. That is, impose the career penalty if $P \leq \frac{h}{vB}$ and not otherwise.

■

D.2 Replacement Rate as a Function of Initial Mission Capacity and Leader Turnover

I consider when the replacement rate is a function of initial mission capacity and the probability that the unaligned leader turns over to a mission-driven type: $B_r[B_1, \tau]$. The extension demonstrates that these factors can diminish the impact of the erosion outcome. To capture when the replacement rate is increasing in these attributes, and for simplicity, I consider a linear functional form: $B_r[B_1, \tau] = B_1 \cdot \tau$.

As the model setup runs parallel to the baseline model besides redefining B_r , we may focus on second period output by simply replacing the results involving the exogenous B_r .

First, as a point of comparison, note the second period output when there is no supervisor exit. If mission-driven supervisors take the focal action of unaligned policy, output is:

$$Q_2^U = 1 - h$$

When the mission-driven supervisors take the focal action of mission-driven policy, output is:

$$Q_2^M = 1 - (1 - B_1)h$$

When there is exit, output is defined as follows:

$$\begin{aligned} Q_2 &= (1 - B_1) \cdot (1 - h) + B_1 \left(1 - \left(1 - \begin{cases} 0 & \text{if } M_{s(w),2} = 0 \\ B_r[B_1, \tau] & \text{if } M_{s(w),2} = 1 \end{cases} \right) h \right) \\ \Rightarrow Q_2^M &= 1 - (1 - B_r[B_1, \tau] \cdot B_1)h \\ \Rightarrow Q_2^U &= 1 - h \end{aligned}$$

Given that $B_r[B_1, \tau] = B_1 \cdot \tau$,

$$Q_2^M = 1 - (1 - B_1^2 \cdot \tau)h$$

$$Q_2^U = 1 - h$$

Figure 5 from the body of the study considers how second period mission capacity is shaped

by the replacement rate. Focusing on second period output can demonstrate the impact of initial mission capacity and the leader turnover probability once they directly shift the replacement rate of mission-driven supervisors. Figure 10 demonstrates that both these attributes are increasing the second-period mission-driven output of the organization. Hence, the severity of erosion is decreasing and comes closer to the non-erosion trajectories as these attributes increase. Similar results are shown in Figure 11 where the horizontal axis is the turnover probability. However, as the output is linearly increasing in turnover probability but is a quadratic function of initial mission capacity, leader turnover has a greater positive impact on second period utility. Therefore, this can demonstrate the importance of a turnover to mission-driven leadership in allowing government agencies to recover from periods of erosion. This result can be connected, for example, to the appointment of the widely-respected Administrator William Ruckelshaus to the EPA after Administrator Gorsuch's turbulent period of heading the agency.

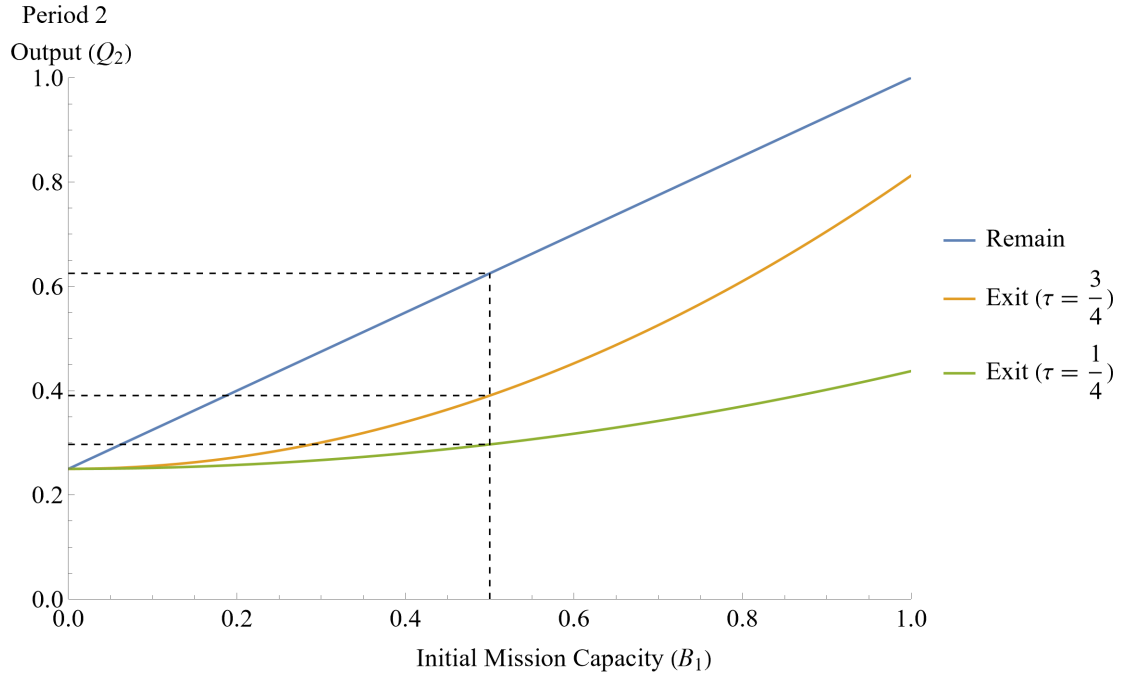


Figure 10: Second-period output by initial mission capacity. *Specification: $h = \frac{3}{4}$.*

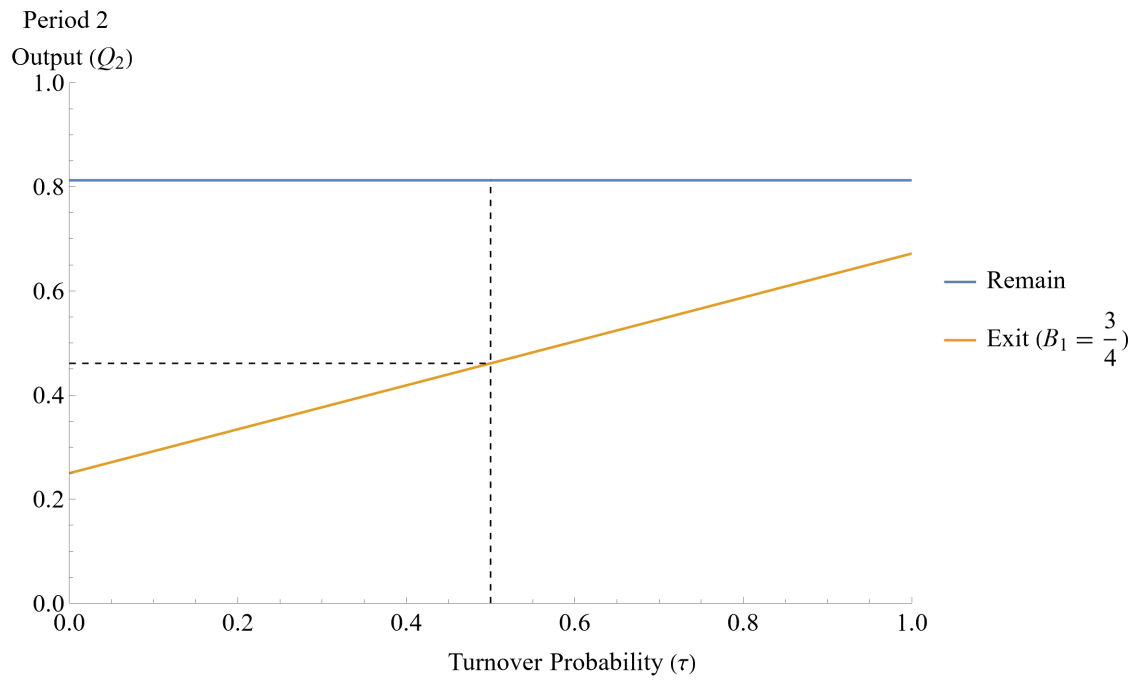


Figure 11: Second-period output by leader turnover probability. *Specification:* $h = \frac{3}{4}, B_1 = \frac{3}{4}$.

D.3 Coordination and Culture

In the baseline model, for an intermediate range of outside options where there could be a multiplicity of pure strategy equilibria, I focus on the case where all mission-driven supervisors remain at the organization, i.e., the payoff-dominant outcome (outlined by Table 1). As demonstrated by the proof to Lemma 4, it can also be a best response for all mission-driven supervisors to leave. For this to be the case, I assume that the supervisors coordinate on the risk-dominant outcome. The conditions on this result are outlined by Table 2. As I restrict focus to pure strategies and retain the assumption that, when indifferent, mission-driven supervisors remain,² these tables suffice to cover the best response exit decisions of mission-driven supervisors.

Table 2: Mission-Driven Supervisor Exit Best Response (Coordination)

Disruption Penalty	Outside Option	Exit Decision
$P_2 \leq \frac{h}{vB_1}$	$\phi \leq \tau B_1 B_r (h + B_1 B_r v) + (1 - h)$	All stay
	$\tau B_1 B_r (h + B_1 B_r v) + (1 - h) < \phi$	All leave
$\frac{h}{vB_1} \leq P_2 < \frac{h}{vB_1 B_r}$	$\phi \leq \tau B_1 B_r (h + B_1 B_r v) + (1 - h)$	All stay
	$\tau B_1 B_r (h + B_1 B_r v) + (1 - h) < \phi$	All leave
$\frac{h}{vB_1 B_r} < P_2$	$\phi \leq 1 - (1 - B_1 B_r)h + (B_1 B_r)^2 v$	All stay
	$1 - (1 - B_1 B_r)h + (B_1 B_r)^2 v < \phi$	All leave

Next, I restate Proposition 1 accounting for multiple equilibria for the intermediate range of outside options. There are three types of equilibrium outcomes:

1. **Erosion.** Mission-driven supervisors leave the organization after the first-period if:

- (a) $P_2 \leq \frac{h}{vB_1}$ and $\tau B_1 (h + B_1 v) + (1 - h) < \phi$ given payoff-dominant coordination or $P_2 \leq \frac{h}{vB_1 B_r}$ and $\tau B_1 B_r (h + B_1 B_r v) + (1 - h) < \phi$ given risk-dominant coordination.
- (b) $\frac{h}{vB_1} < P_2$ and $1 - (1 - B_1)h + B_1^2 v < \phi$ given payoff-dominant coordination or $\frac{h}{vB_1 B_r} < P_2$ and $1 - (1 - B_1 B_r)h + (B_1 B_r)^2 v < \phi$ given risk-dominant coordination.

2. **Temporary Reversal.** Mission-driven supervisors remain but propose unaligned policy.

They remain if $P_2 \leq \frac{h}{vB_1}$ and $\phi \leq \tau B_1 (h + B_1 v) + (1 - h)$ or $\frac{h}{vB_1} < P_2$ and $\phi \leq 1 - (1 - B_1)h + B_1^2 v$ given payoff-dominant coordination. For risk-dominant coordination, they remain when

2. This assumption removes the “mixing” of exit decisions by supervisors in a Purification Theorem sense.

$P_2 < \frac{h}{vB_1B_r}$ when $\phi \leq \tau B_1B_r(h + B_1B_rv) + (1 - h)$ or $\frac{h}{vB_1B_r} < P_2$ when $\phi \leq 1 - (1 - B_1B_r)h + (B_1B_r)^2v$. Then policy choices are unaligned if:

- (a) First-period unaligned policy: $P_1 \leq \frac{h}{vB_1}$.
- (b) Second-period unaligned policy: $P_2 \leq \frac{h}{vB_1}$.

3. **Resistance.** Mission-driven supervisors remain and enact mission-driven policy in every period. Mission-driven policy is always enacted when $P_1 > \frac{h}{vB_1}$ in the first-period. In the second-period, $P_2 > \frac{h}{vB_1}$, and remain given $\phi \leq 1 - (1 - B_1)h + B_1^2v$ given payoff-dominant coordination. Or, for $\frac{h}{vB_1} \leq P_2 < \frac{h}{vB_1B_r}$, then they remain when $\phi \leq \tau B_1B_r(h + B_1B_rv) + (1 - h)$ and for $\frac{h}{vB_1B_r} < P_2$, $\phi \leq 1 - (1 - B_1B_r)h + (B_1B_r)^2v$ given risk-dominant coordination.

Finally, the remainder of the proof runs parallel to that of Proposition 1 as the value of the outside option does not impact the first-period actions.

■

To visualize this result, Figure 12 once again presents the equilibrium plot of the baseline model. Now, for an intermediate range of outside options, referred to as the “coordinated outcome,” there is both a payoff-dominant outcome in which mission-driven supervisors prefer to stay if everyone else stays (the upper solid line) and a risk-dominant outcome in which all supervisors exit if everyone else leaves. To the left of the dotted line, mission-driven supervisors who stay will propose unaligned policy because organizational culture is weak. To the right of the dotted line, they will propose mission-driven policy because culture is strong. However, between these regions, their coordinated exit decisions determine future output. If all mission-driven supervisors stay, second-period culture is strong enough to prevent disruption. However, if they exit, the future culture is weakened enough to allow a leader to disrupt. In this liminal space, with the same initial mission capacity and outside options, the balance of culture, and therefore future output, can go either way, depending on whether mission-driven supervisors decide to leave or remain in mass.

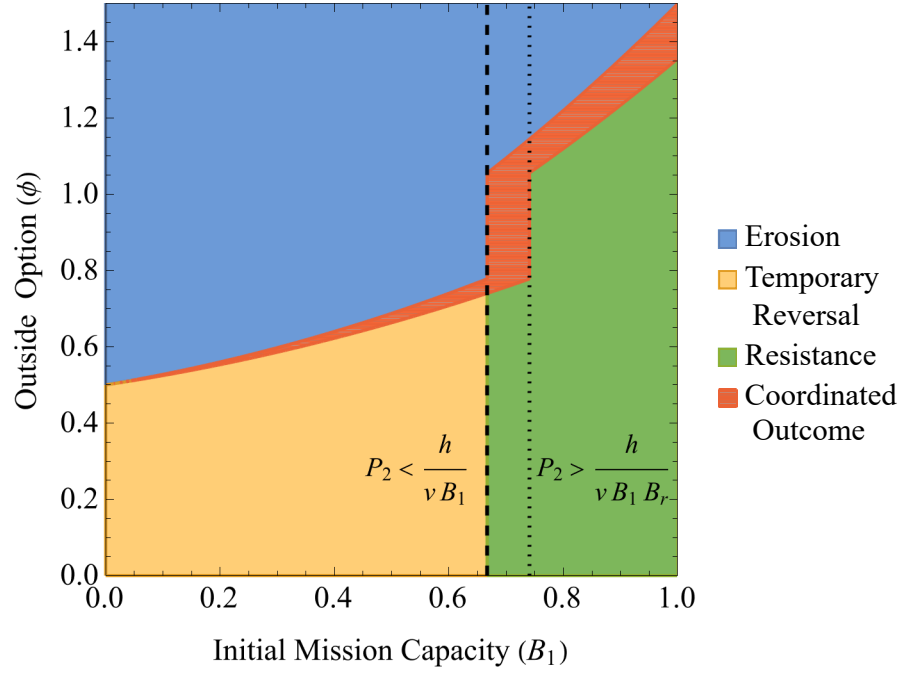


Figure 12: Coordination and Culture. *Note:* To left of the dashed line, the leader always disrupts. To right of the dotted line, the leader never disrupts (*specification:* $P_2 = 1.5$, $h = \frac{1}{2}$, $\tau = \frac{1}{2}$, $v = \frac{1}{2}$, $B_r = 0.9$).

D.4 Empty Offices

Thus far, I have assumed the size of the organization remains constant. Instead, suppose mission-driven supervisors who leave are not replaced in the second-period. Hence, the size of the pool of supervisors can shrink. In the first-period, there is a unit mass of supervisors S_1 . In the second-period, if mission-driven supervisors remain, $S_2 = S_1$. However, if they exit, $S_2 = 1 - B_1$. To account for the different size of the supervisor pool, I redefine the matching function to account for many-to-one worker to supervisor matching.³

Definition 1. A uniform matching function is $s : W \rightarrow S_t$ where for each supervisor $s \in S_t$, a subset of workers W is assigned such that there is a ratio of $\frac{1}{S_t}$ workers to each supervisor. Let $s(w)_i$ denote a workers-supervisor match. Hence, each worker is associated with only one supervisor such that the set of workers associated with two supervisors is disjoint: $\{w \in W : s(w)_i\} \cap \{w \in W : s(w)_j\} = \emptyset$ where $i \neq j$.

The extension demonstrates that empty offices can serve to achieve the same ends as unaligned policy-making in the baseline model while the leader may avoid the associated disruption penalty. Moreover, agencies could find it challenging to recruit mission-driven supervisors if potential employees observe that an organization has been disrupted.

Corollary 2. *Leaving empty posts produces output equivalent to entirely unaligned policy-making in the baseline two-period model.*

Proof:

First, I demonstrate how policy is impacted by a lack of replacement and then how this impacts the exit decision of supervisors.

From Lemma 1, workers will enact mission-driven policy given $\theta_w \geq (1 - E(M_{s(w)}))h$ where $E(M_{s(w)}) = Pr(T_{s(w)} = 1)Pr(M_{s(w)} = 1 | T_{s(w)} = 1)$. Should all mission-driven supervisors exit (without replacement), then $Pr(T_{s(w)} = 1) = 0$. Thus, $\theta_w \geq 1 - h$, which aligns with the case

3. In the first-period, the matching function is bijective but it is non-injective surjective in the second-period given mission-driven supervisors exit the organization. That is, multiple workers are matched to a single (atomless) unaligned supervisor.

in the baseline model where all supervisors enact unaligned policy. Hence, output is $Q = 1 - h$. Moreover, there is no proposal decision for mission-driven supervisors once they leave and the leader has no reason to punish because policy is already unaligned.

Turning to the exit decision, now $B_2 \in \{0, B_1\}$ as $B_2 = B_1 - E$ where $E \in \{0, B_1\}$. That is, either mission capacity remains the same or goes to zero. When $B_2 = 0$, the leader is indifferent regarding punishment because it has cost 0 but also does not impact second-period policy. This is because there are no mission-driven supervisors. Either case, output is $Q_2 = 1 - h$.

$$\begin{aligned} u_L(c = B^2v, Q^U) &= -Q^U - cP \geq -Q^M - cP = u_L(c = 0, Q^M) \\ \Rightarrow -(1 - h) - B^2vP &\geq -(1 - (1 - B)h) \Rightarrow -(1 - h) = -(1 - h) \end{aligned}$$

In the case where mission-driven supervisors exit, as supervisors are atomless, the payoff to remaining is the same regardless if the leader punishes because $B_2 = 0$:

$$\begin{aligned} Eu_s(e_s = \text{stay}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 0) \\ &\geq Eu_s(e_s = \text{leave}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 0) \\ &\Rightarrow \tau(1 - h + B_2^2v) + (1 - \tau)(1 - h) \\ &\Rightarrow \tau(1 - h) + (1 - \tau)(1 - h) \\ &\geq \phi \\ &\Rightarrow (1 - h) \geq \phi \end{aligned}$$

Going from the second to third line comes from $B_2 = 0$. Hence, the output return is the same regardless if there is leader turnover because mission-driven supervisors have exited. Moreover, the exit decision simplifies to mission-driven supervisors having the same threshold as the highly mission-driven workers because there is no cultural payoff in the second-period. In the case where all mission-driven types would opt to stay, this aligns with the results from Lemma 4. Thus, $Q_2^U = 1 - h$ as in the case when all supervisors propose unaligned policy in the baseline model.

■

D.5 Expertise and Capacity in the Two-Period Model

Following the approach to bureaucratic capacity taken by Huber and McCarty (2004), this extension details if mission-driven supervisors have a slight advantage in terms of the accuracy of their actions due to expertise. Then, by leading to an erosion of mission-driven supervisors, disruptive leaders can reverse output even when defined in the sense as fulfilling the aims of political leaders. This is because the leader is less able to enact unaligned policy once more competent mission-driven supervisors leave.

Suppose that supervisors have different levels of expertise according to their type. Unaligned supervisors make an error some small percentage $\varepsilon > 0$ such that when they aim to propose unaligned policy, they actually enact mission-driven policy. This mistake could be an unaligned supervisor allowing the usual regulatory process go unimpeded or the inability to successfully translate an unaligned leader's directions into action. However, mission-driven types do not make this minor mistake because they hold greater expertise, which may derive from years of experience at the organization. Moreover, evidence suggests that individuals who hold preferences that better align with an organization's mission give greater effort (Gerhards 2015).

The proof below demonstrates that Proposition 1 also holds for the extension (given slightly altered exit conditions). Notably, interpreting state capacity as the ability of an unaligned leader to achieve their goals, the erosion equilibrium outcome produces a reversal of state capacity. That is, the organization is less effective at producing unaligned policy after mission-driven supervisors leave the organization. To show this, Figure 13 compares the proportion of overall policy that is unaligned before and after mission-driven supervisors leave following the first-period. While modest in absolute terms, there is a drop in unaligned policy-making following diminished mission capacity. This is because mission-driven supervisors are better able to implement unaligned policy due to their expertise. Moreover, despite the benefit from retaining the more competent mission-driven supervisors, the unaligned leader cannot credibly commit to not implementing a career punishment in the second-period (unless there is a strong future disruption penalty, in which case the unaligned leader must tolerate mission-driven policy). Therefore, despite only mission-driven

supervisors exiting the organization, the unaligned leader becomes less able to implement their preferred policy. Thus, the extension demonstrates that the erosion of mission-driven supervisors also undermines the ability of leaders to achieve their aims.

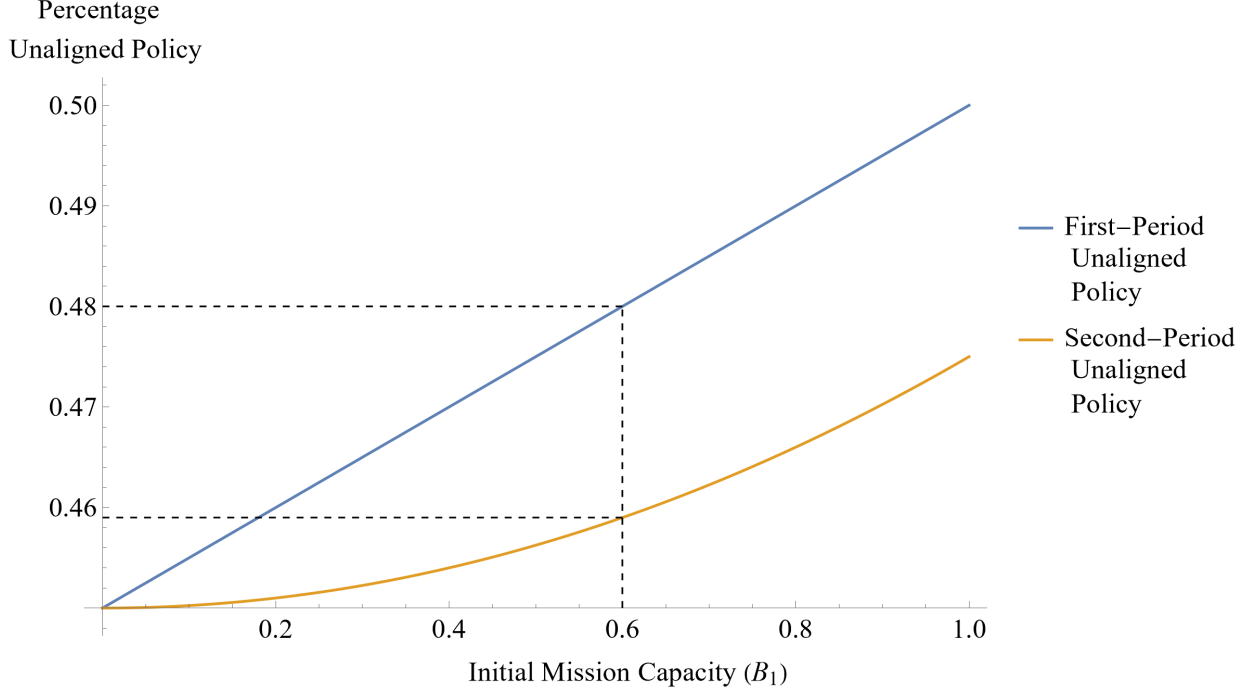


Figure 13: Expertise extension. Let $\varepsilon = 0.1$, $h = \frac{1}{2}$, and $B_r = \frac{B_1}{2}$. The horizontal axis is initial mission capacity and the vertical axis is the per period percentage of policy that is unaligned.

Proof:

Let unaligned supervisors make a minor error where $Pr(M_{s(w)} = 1 | T_{s(w)} = 0) = \varepsilon$ and $Pr(M_{s(w)} = 0 | T_{s(w)} = 0) = 1 - \varepsilon$ where $0 < \varepsilon$ is small. Given this change, I now solve for the two-period model.

Beginning in the second-period, note that learning remains unchanged from the baseline two-period model because supervisor's and their matched worker's first-period actions are only observed within a pairing and by the leader. Once more, there are two salient information sets. First, when the workers have no additional information, which occurs when there is no supervisor exit. Second, the workers hold no additional information when matched with a new supervisor but know for certain an incumbent supervisor is an unaligned type given mission-driven supervisors exited.

Beginning with the workers, their second-period strategy is comprised of two actions given supervisors remain at the organization and four actions should the supervisors exit. Consider case

1. Lemma 1 gives:

$$\theta_w \geq (1 - Pr(M_{s(w),2} = 1))h$$

The unconditional likelihood that the supervisor proposes mission-driven policy is given by:

$$\begin{aligned} Pr(M_{s(w),2} = 1) &= Pr(M_{s(w),2} = 1 | T_{s(w),2} = 1) \cdot Pr(T_{s(w),2} = 1) \\ &\quad + Pr(M_{s(w),2} = 1 | T_{s(w),2} = 0) \cdot Pr(T_{s(w),2} = 0) \\ &\Rightarrow Pr(M_{s(w),2} = 1 | T_{s(w),2} = 1)B_2 + (1 - B_2)\epsilon \end{aligned}$$

Next, solving for $E(M_{s(w),2,T_L})$:

$$\begin{aligned} E(M_{s(w),2,T_L}) &= Pr(T_{s(w),2} = 1)(1 \cdot Pr(M_{s(w),2,T_L} = 1 | T_{s(w),2} = 1) + 0 \cdot Pr(M_{s(w),2,T_L} = 0 | T_{s(w),2} = 1)) \\ &\quad + Pr(T_{s(w),2} = 0)(1 \cdot Pr(M_{s(w),2,T_L} = 1 | T_{s(w),2} = 0) + 0 \cdot Pr(M_{s(w),2,T_L} = 0 | T_{s(w),2} = 0)) \\ &= Pr(T_{s(w),2} = 1)Pr(M_{s(w),2,T_L} = 1 | T_{s(w),2} = 1) + Pr(T_{s(w),2} = 0)Pr(M_{s(w),2,T_L} = 1 | T_{s(w),2} = 0) \\ &= B_1 \cdot Pr(M_{s(w),2,T_L} = 1 | T_{s(w),2} = 1) + (1 - B_1)\epsilon \end{aligned}$$

Hence, the condition may be rewritten as $\theta_w \geq (1 - E(M_{s(w),2,T_L}))h$. Moreover, as output is defined as $Q = 1 - (1 - E(M_{s(w),2,T_L}))h$, then if mission-driven supervisors take the focal action of unaligned policy, output is:

$$Q_2^U = 1 - (1 - (1 - B_1)\epsilon)h$$

And when the mission-driven supervisors take the focal action of mission-driven policy, output is:

$$Q_2^M = 1 - (1 - B_1 - (1 - B_1)\epsilon)h$$

Thus, the unaligned leader's utility is increasing in the proportion of mission-driven types when unaligned policy is focal but decreasing in this proportion when mission-driven policy is focal.

Turning to case 2, the best response of workers remains to enact mission-driven policy when $\theta_w \geq (1 - Pr(M_{s(w),2,T_L} = 1))h$ but the value of $Pr(M_{s(w),2,T_L} = 1)$ depends on if the worker is matched with an incumbent or new supervisor. Should they be matched with a new supervisor, they

have the same best response as Lemma 1. However, should they be matched with an incumbent, they hold the following best response:

$$BR_{w,2}(\theta_w, T_{s(w),2} = 0) = \begin{cases} M_{w,2} = 0 & \text{if } \theta_w < (1 - (1 - B_1)\varepsilon)h \\ M_{w,2} = 1 & \text{if } \theta_w \geq (1 - (1 - B_1)\varepsilon)h \end{cases} \quad (2)$$

Despite the additional information, the second-period output remains unchanged from when workers hold no information beyond their prior beliefs over the types of the supervisors besides shifting second-period mission capacity:

$$\begin{aligned} Q_2 &= (1 - B_1) \cdot (1 - (1 - \varepsilon)h) + B_1 \left(1 - \left(1 - \begin{cases} (1 - B_r)\varepsilon & \text{if } M_{s(w),2,T_L} = 0 \\ B_r + (1 - B_r)\varepsilon & \text{if } M_{s(w),2,T_L} = 1 \end{cases} \right) h \right) \\ \Rightarrow Q_2^M &= 1 - (1 - B_r B_1 - (1 - B_r B_1)\varepsilon)h \\ \Rightarrow Q_2^U &= 1 - (1 - (1 - B_1 B_r)\varepsilon)h \end{aligned}$$

Notice that $B_r = B_1$ makes clear the parallel to the baseline model.

$$Q_2^M = 1 - (1 - B_1^2 - (1 - B_1^2)\varepsilon)h$$

$$Q_2^U = 1 - (1 - (1 - B_1^2)\varepsilon)h$$

Turning to the supervisors, we may once more consider the two cases due to the symmetrical utilities: 1) when all mission-driven types propose $M_{s(w),2,T_L} = 1$ or 2) when all mission-driven types propose $M_{s(w),2,T_L} = 0$. Note that the workers do not know if their matched supervisor's action is a mistake. Thus, beliefs are slightly altered from the baseline model.

In the first case, a worker holds the belief $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2,T_L} = 1) = \frac{1 \cdot B_2}{1 \cdot B_2 + \varepsilon(1 - B_2)} = \frac{B_2}{B_2 + \varepsilon(1 - B_2)}$ where $\frac{B_2}{B_2 + \varepsilon(1 - B_2)} > B_2$ for $\forall \varepsilon < 1$, which is always true by assumption. And $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2,T_L} = 0) = \frac{0 \cdot B_2}{0 \cdot B_2 + (1 - \varepsilon)(1 - B_2)} = 0$. Hence, mission-driven types receive the culture payoff when they play mission-driven policy and not otherwise. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned}
u_{s(w)}(M_{s(w),2,T_L} = 1) &= (1 - (1 - B_2 - (1 - B_2)\varepsilon)h) + B_2^2v - c_2 \\
&> (1 - (1 - B_2 - (1 - B_2)\varepsilon)h) = u_{s(w)}(M_{s(w),2,T_L} = 0) \\
&\Rightarrow B_2^2v > c_2
\end{aligned}$$

In the second case, a worker holds the belief $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2,T_L} = 1) = \frac{0 \cdot B_2}{0 \cdot B_2 + \varepsilon(1 - B_2)} = 0$ and $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2,T_L} = 0) = \frac{1 \cdot B_2}{1 \cdot B_2 + (1 - \varepsilon)(1 - B_2)} > B_2$, which holds for all $\varepsilon > 0$. Hence, because mission-driven supervisors are more likely to play unaligned policy under the unaligned focal action than unaligned supervisors, this is a clear signal of mission-driven supervisor type. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned}
u_{s(w)}(M_{s(w),2,T_L} = 1) &= (1 - (1 - (1 - B_2)\varepsilon)h) - c_2 \\
&> (1 - (1 - (1 - B_2)\varepsilon)h) + B_2^2v = u_{s(w)}(M_{s(w),2,T_L} = 0) \\
&\Rightarrow 0 > c_2 + B_2^2v
\end{aligned}$$

This never holds. Thus, for $B_2^2v \leq c$ there is a unique equilibrium of mission-driven supervisors pooling on unaligned policy and for $B_2^2v > c$ there are two equilibria, one where the supervisors pool on unaligned policy and when where they pool on mission-driven policy. In order to show that the equilibrium results from Proposition 1 are replicated in the extension, I focus on the focal outcome where the mission-driven supervisors pool on mission-driven policy given $B_2^2v > c$. Therefore, the condition when the unaligned leader is willing to punish remains:

$$\begin{aligned}
-Q_2^U - B_2^2vP_2 &\geq -Q_2^M \\
\Rightarrow P_2 &\leq \frac{h}{B_2v}
\end{aligned}$$

Finally, turning to the exit decision, when $P_2 > \frac{h}{vB_2}$, then the unaligned leader will not punish in the second-period and the mission-driven leader never punishes, ($c_{2,T_L=0} = 0, c_{2,T_L=1} = 0$). Hence, a mission-driven supervisor prefers to remain when:

$$\begin{aligned}
& Eu_s(e_s = \text{stay}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 1) \\
& \geq Eu_s(e_s = \text{leave}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 1) \\
& \Rightarrow \tau(1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v) \\
& \quad + (1 - \tau)(1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v) \\
& \geq \phi \\
& \Rightarrow 1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v \geq \phi
\end{aligned}$$

When $P_2 \leq \frac{h}{vB_2}$, then the unaligned leader will punish in the second-period but the mission-driven leader never does, ($c_{2,T_L=0} = B^2v, c_{2,T_L=1} = 0$). Hence, a mission-driven supervisor prefers to remain when:

$$\begin{aligned}
& Eu_s(e_s = \text{stay}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 0) \\
& \geq Eu_s(e_s = \text{leave}, M_{s(w),2,1} = 1, M_{s(w),2,0} = 0) \\
& \Rightarrow \tau(1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v) \\
& \quad + (1 - \tau)(1 - (1 - (1 - B_1)\varepsilon)h) \\
& \geq \phi \\
& \Rightarrow \tau B_1(h + B_1v) + (1 - h) + \varepsilon(1 - B_1)h \geq \phi
\end{aligned}$$

Following Lemma 4 and focusing on the cases that maximize mission-driven supervisor utility produces the outcome:

Table 3: Mission-Driven Supervisor Exit Best Responses

Disruption Penalty	Outside Option	Exit Decision
$P_2 \leq \frac{h}{vB_1}$	$\phi \leq \tau B_1(h + B_1v) + (1 - h) + \varepsilon(1 - B_1)h$	All stay
	$\tau B_1(h + B_1v) + (1 - h) + \varepsilon(1 - B_1)h < \phi$	All leave
$\frac{h}{vB_1} \leq P_2 < \frac{h}{vB_1B_r}$	$\phi \leq 1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v$	All stay
	$1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v < \phi$	All leave
$\frac{h}{vB_1B_r} < P_2$	$\phi \leq 1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v$	All stay
	$1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v < \phi$	All leave

In the first-period, the argument is parallel to that above except the workers have no additional

information on the types of supervisors.

Beginning with the workers, by arguments above, the best response of the workers is:

$$BR_{w,1}(M_{w,1}) = \begin{cases} M_w = 0 & \text{if } \theta_w < (1 - E(M_{s(w),1}))h \\ M_w = 1 & \text{if } \theta_w \geq (1 - E(M_{s(w),1}))h \end{cases}$$

Where $E(M_{s(w),1}) = B_1 \cdot Pr(M_{s(w),1} = 1 | T_{s(w),1} = 1) + (1 - B_1)\varepsilon$. Then, if mission-driven supervisors take the focal action of unaligned policy, output becomes:

$$Q_1^U = 1 - (1 - (1 - B_1)\varepsilon)h$$

And when the mission-driven supervisors take the focal action of mission-driven policy, output becomes:

$$Q_1^M = 1 - (1 - B_1 - (1 - B_1)\varepsilon)h$$

Turning to the supervisors, consider: 1) when all mission-driven types propose $M_{s(w),1} = 1$ or 2) when all mission-driven types propose $M_{s(w),1} = 0$. In the first case, a worker holds the belief $Pr_{w,1}(T_{s(w),1} = 1 | M_{s(w),1} = 1) = \frac{1 \cdot B_1}{1 \cdot B_1 + \varepsilon(1 - B_1)} = \frac{B_1}{B_1 + \varepsilon(1 - B_1)}$ where $\frac{B_1}{B_1 + \varepsilon(1 - B_1)} > B_1$ for $\forall \varepsilon < 1$, which is always true by assumption. And $Pr_{w,1}(T_{s(w),1} = 1 | M_{s(w),1} = 0) = \frac{0 \cdot B_1}{0 \cdot B_1 + (1 - \varepsilon)(1 - B_1)} = 0$. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned} u_{s(w)}(M_{s(w),1} = 1) &= (1 - (1 - B_1 - (1 - B_1)\varepsilon)h) + B_1^2 v - c_1 \\ &> (1 - (1 - B_1 - (1 - B_1)\varepsilon)h) = u_{s(w)}(M_{s(w),1} = 0) \\ &\Rightarrow B_1^2 v > c_1 \end{aligned}$$

In the second case, a worker holds the belief $Pr_{w,2}(T_{s(w),2} = 1 | M_{s(w),2} = 1) = \frac{0 \cdot B_2}{0 \cdot B_2 + \varepsilon(1 - B_2)} = 0$ and $Pr_{w,2}(T_{s(w),1} = 1 | M_{s(w),1} = 0) = \frac{1 \cdot B_1}{1 \cdot B_1 + (1 - \varepsilon)(1 - B_1)} > B_1$, which holds for all $\varepsilon > 0$. Then, mission-driven supervisors prefer to propose mission-driven policy when:

$$\begin{aligned}
u_{s(w)}(M_{s(w),1} = 1) &= (1 - (1 - (1 - B_1)\varepsilon)h) - c_1 \\
&> (1 - (1 - (1 - B_1)\varepsilon)h) + B_1^2v = u_{s(w)}(M_{s(w),1} = 0) \\
&\Rightarrow 0 > c_1 + B_1^2v
\end{aligned}$$

This never holds. Thus, for $B_1^2v \leq c$ there is a unique equilibrium of mission-driven supervisors pooling on unaligned policy and for $B_1^2v > c$ there are two equilibria, one where the supervisors pool on unaligned policy and when where they pool on mission-driven policy. I focus on the focal outcome where the mission-driven supervisors pool on mission-driven policy given $B_1^2v > c$. Therefore, the condition when the unaligned leader is willing to punish remains:

$$\begin{aligned}
-Q_1^U - B_1^2vP_1 &\geq -Q_1^M \\
\Rightarrow P_2 &\leq \frac{h}{B_2v}
\end{aligned}$$

■

Thus, Proposition 1 can be rewritten with slightly altered conditions on the exit decisions:

1. **Erosion.** Mission-driven supervisors leave the organization after the first-period if:

- (a) $P_2 \leq \frac{h}{vB_1}$ and $\tau B_1(h + B_1v) + (1 - h) + \varepsilon(1 - B_1)h < \phi$.
- (b) Or, $\frac{h}{vB_1} < P_2$ and $1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v < \phi$.

2. **Temporary Reversal.** Mission-driven supervisors remain at the organization but propose unaligned policy. They remain at the organization if $P_2 \leq \frac{h}{vB_1}$ and $\phi \leq \tau B_1(h + B_1v) + (1 - h) + \varepsilon(1 - B_1)h$; or, $\frac{h}{vB_1} < P_2$ and $\phi \leq 1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v$. Then policy choices are unaligned if:

- (a) First-period unaligned policy: $P_1 \leq \frac{h}{vB_1}$.
- (b) Second-period unaligned policy: $P_2 \leq \frac{h}{vB_1}$.

3. **Resistance.** Mission-driven supervisors remain and enact mission-driven policy in every period. Mission-driven policy is always enacted when $P_1 > \frac{h}{vB_1}$ and $P_2 > \frac{h}{vB_1}$, and they remain given $\phi \leq 1 - (1 - B_1 - (1 - B_1)\varepsilon)h + B_1^2v$.

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